

Nubank

Challenge 2025.2

Group A

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Nubank at a glance

Simplicity, scale and diversification: **the key drivers** of Nubank's **success**

Nubank

Summary

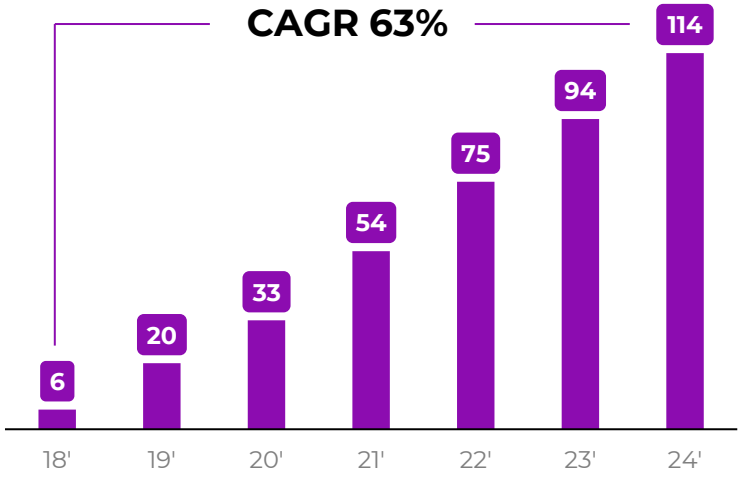
Founded in 2013 in Brazil, Nubank disrupted traditional banking by offering a **fully digital, fee-free credit card.** In the present, Nubank has over **100 million clients** across Brazil, Mexico and Colombia.



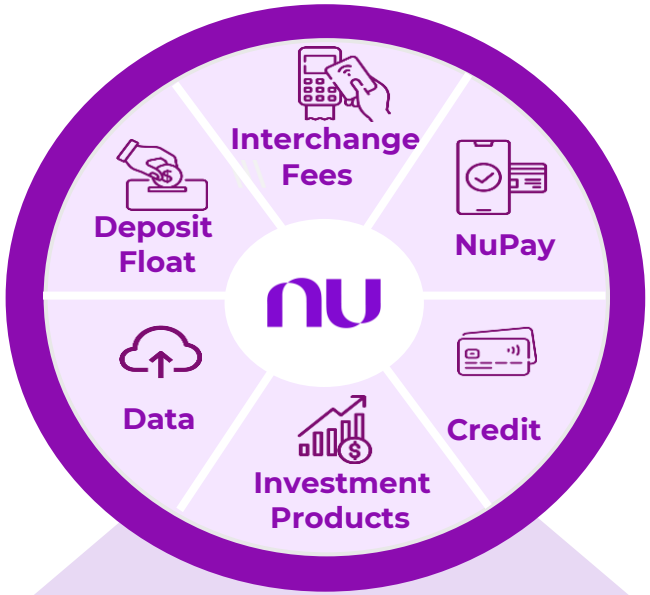
The formula behind **Nubank's growth**



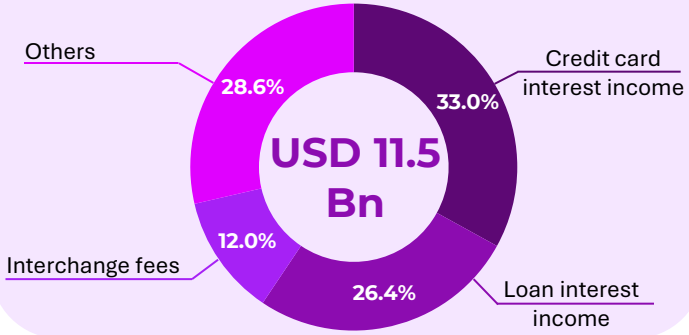
Nubank's customer base (Mn)



From **credit to ecosystem**: Nu's mix



Revenue breakdown (24')



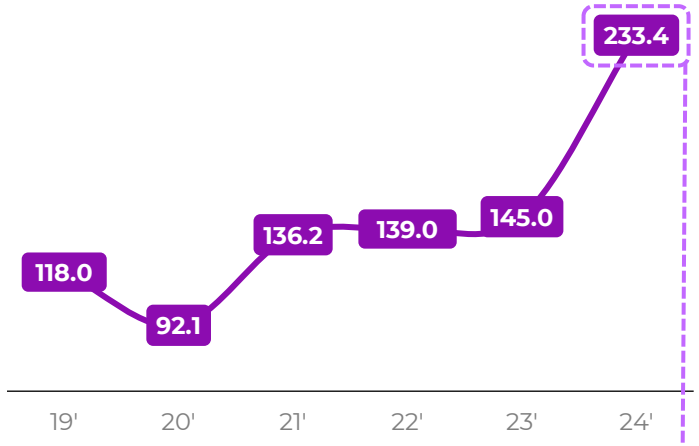
Sources: Nubank's IR

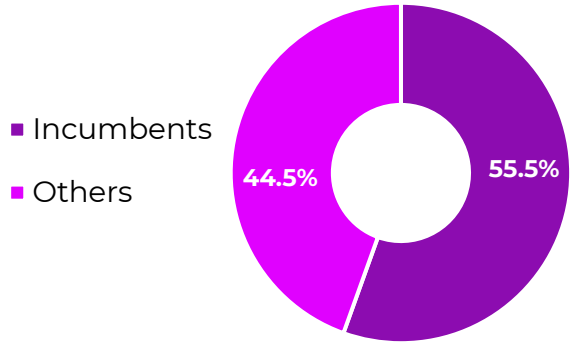
Industry overview

A **concentrated industry** that underserves **young** and **low-income borrowers**

Incumbents hold most of the **profits**

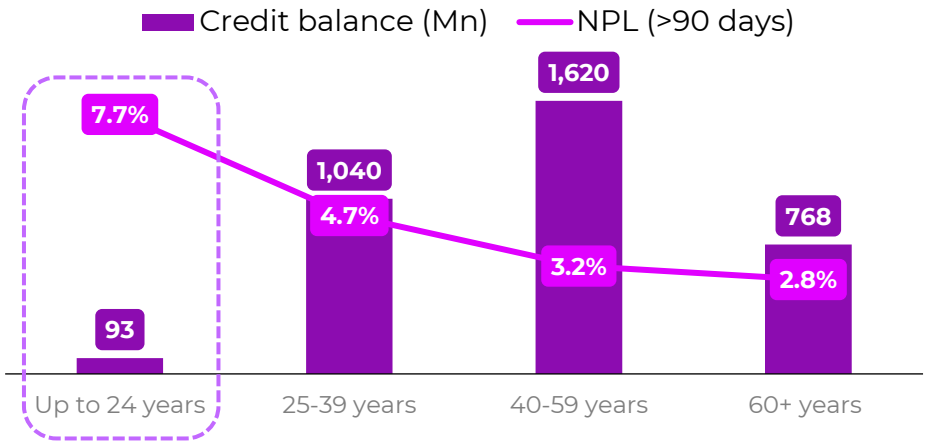
Banking industry's net income (USD Bn)





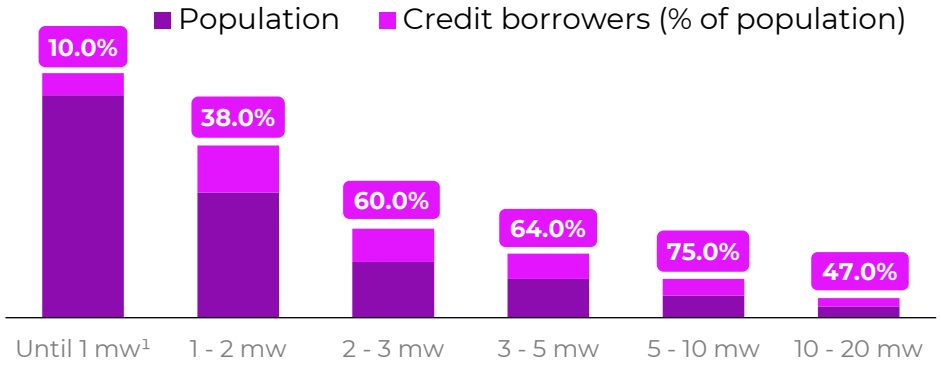
Credit access **narrows** for **younger clients**

Credit access by age x NPL (>90 days) - 2024



Low-income groups remain underserved

Borrowers and population by income bracket – 2015



Up to 24 years

Entry-level borrowers

Low credit** relevance, **high delinquency
Demands:
Digital, free-fee, easy credit

25-59 years

Prime clients

***Higher-income, low-risk** and multi-product*
Demands:
Omnichannel, wide product range

60+ years

Wealth holders

Stable,** wealthy and **highly reliable
Demands:
Security, simplicity, always available support

Sources: Statista, Bacen, Banks' IR

1 - minimum wage

Low-cost operations powering a **high-return model**

High usage today, higher **monetization tomorrow**

LatAm becomes Nubank's next compounding engine



BUY!

Yes, we want to be partners!

Low-cost operations powering a
high-return model

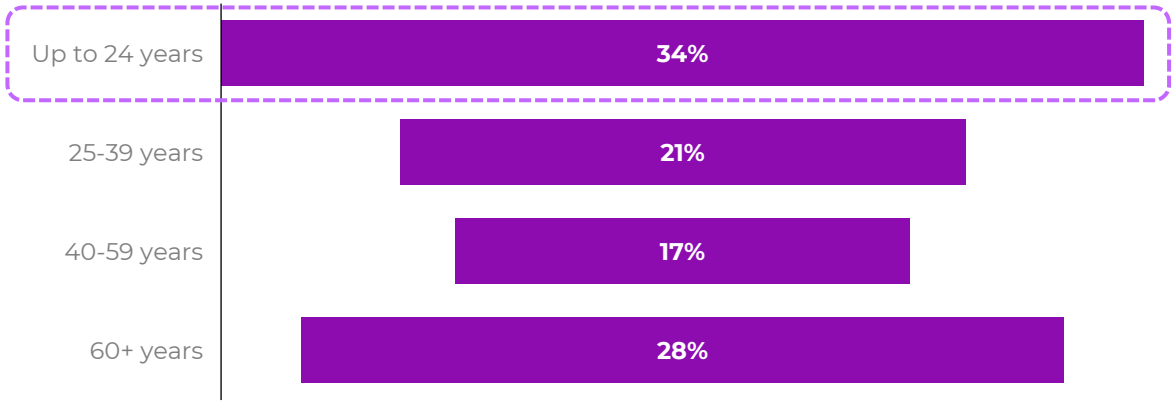


Nu emerges by serving the customers incumbents excluded

Nubank's model unlocks access for **excluded customers**, while absorbing the **higher credit risk** that incumbents avoid

Users largely come from **underserved groups**

Nubank's clients' breakdown



How Nubank turns **inclusion** into **profitability**?

Client-centric model designed to acquire, engage, monetize users

1

Acquisition

- **Simple** digital onboarding
- **Free** credit card

2

Engagement

- **Cross-sell** across ecosystem
- **Data**-driven personalization

3

Monetization

- **Interest**, fees, and float income
- **Diversified** revenue streams

The **purpose** behind the model

Simplicity and inclusion as the foundation for innovation

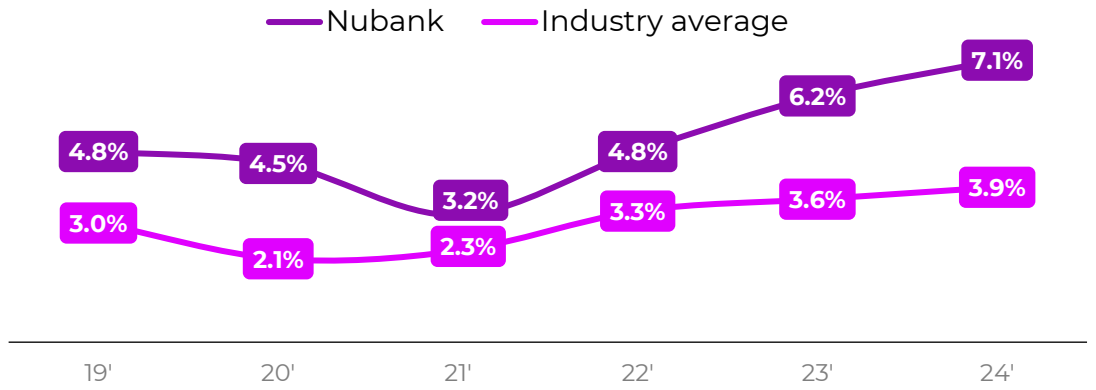
"Nubank was founded precisely to challenge unnecessary banking bureaucracy and simplifying access to financial services."

David Vélez – Nubank's CEO



But serving excluded clients comes with **higher deliquency**

NPL (> 90 days)



Sources: Nubank's IR, Bacen

Visionary leadership turned a risky model into a success

David Vélez identified **structural risks** early and built a **world-class team** to turn them into a **winning business model**

David's vision reframed **risk as opportunity**

Morgan Stanley → Goldman Sachs → General Atlantic → Sequoia → Nu



David Vélez's leadership is the cornerstone of Nubank's culture
With experience in renowned global firms, he brings analytical rigor and long-term vision for an extremely risky business model

A **world-class team** made the model work

Cristina Junqueira
Co-Founder & CGO

David Vélez
Founder & CEO
Stanford

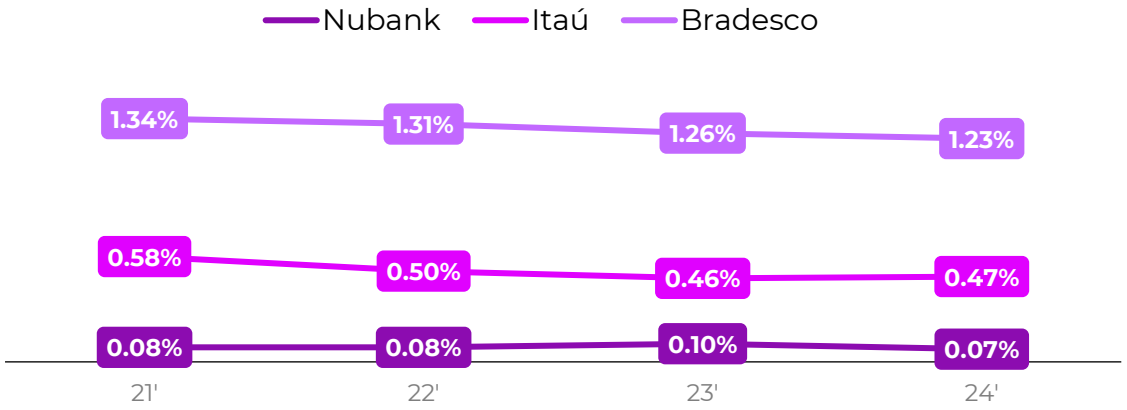
Edward Wibble
Co-Founder & Software Engineer
Princeton University

Guilherme Lago
CFO
Harvard University

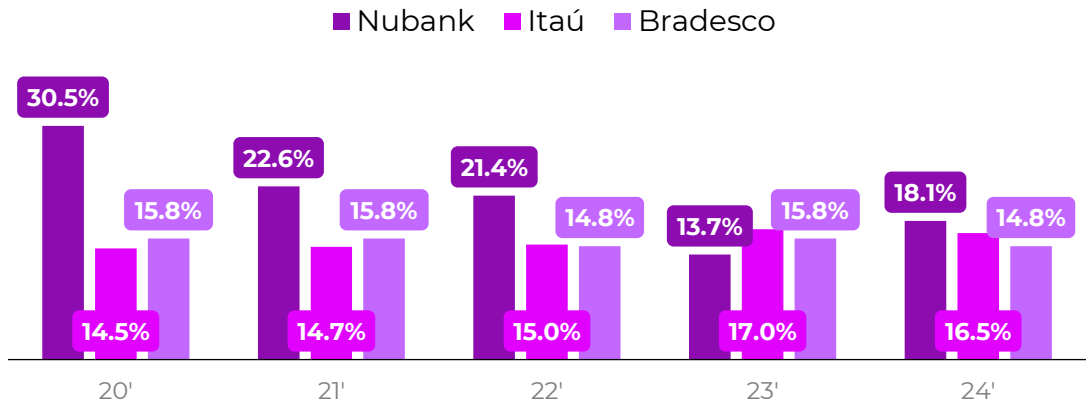
Roberto Campos Neto
Vice-Chairman
UCLA

A **single model** that incumbents cannot replicate: a digital-first, **asset-light model** that compensates the riskier operation

Fixed assets (PP&E) as a percentage of total assets



Basel ratio



Sources: Banks' IR, Team Elaboration

A culture designed to enable a truly asset-light model

By designing a culture of client focus, ownership and efficiency, leadership enabled great advantages

Nubank's culture

Fanatical about clients
Aim to be truly loved by their clients

Challenge the status quo
Hungry, curious, and never settle

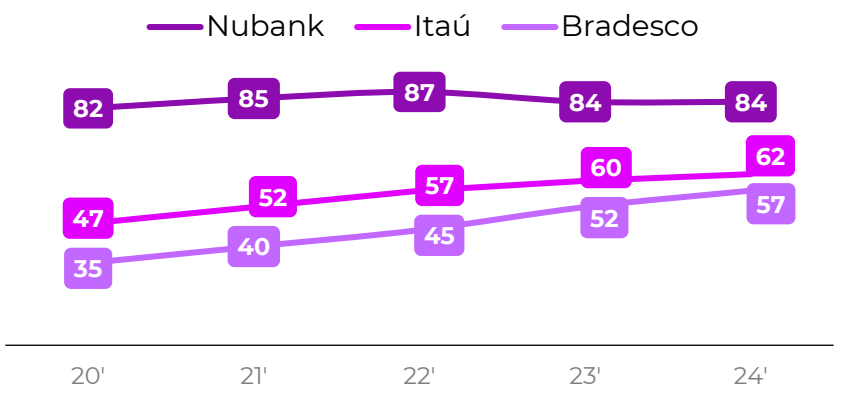
Think like owners
Act responsibly, as if the company were theirs

Build strong, diverse teams
Grow together through inclusion and collaboration

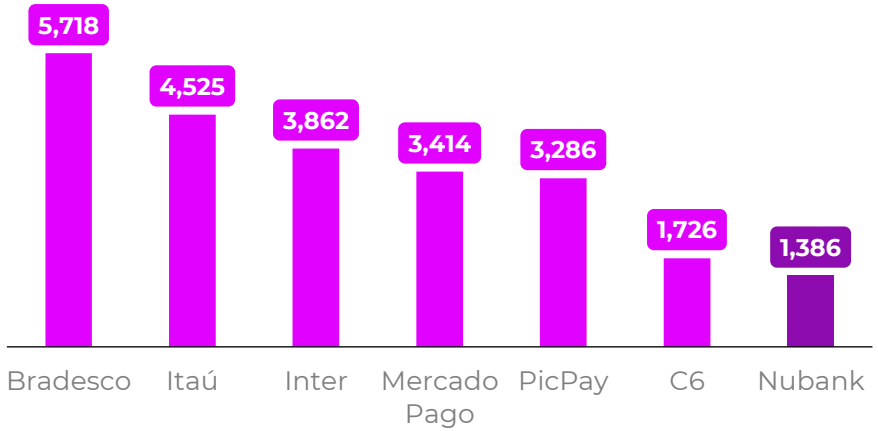
Smart efficiency
Simplify, automate, and scale with optimization

Driven by its **culture**, Nubank consistently outperforms incumbents in **client satisfaction**

NPS - Net Promoter Score (%)

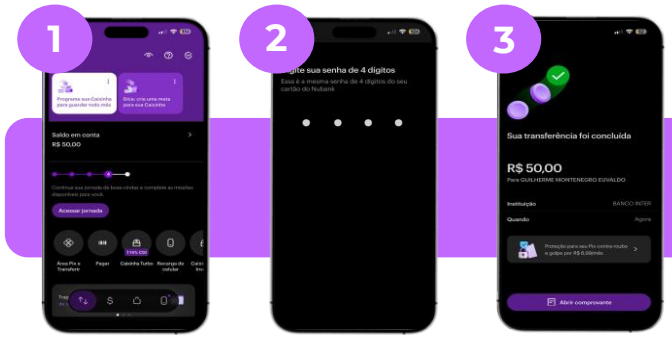


Valid complaints – 3Q25'



As another culture's pillar, we tested Nubank's **efficiency on daily transactions**

Nubank's PIX simulation

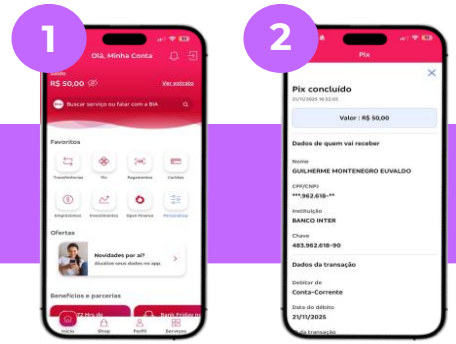


42s

1 Face ID

1 password

Bradesco's PIX simulation



1min17s

1 Face ID

If you make two PIX transfers a day, you lose **35 minutes every month** by not using Nubank

Sources: Nubank's IR, Bacen, Team Elaboration

Strong culture built on retention and long-term ownership

Low turnover, solid stock option programs, and team resilience ensured **cultural continuity until profitability**

Ownership culture reinforced by equity incentives

SOPs and RSUs align teams with Nubank's long-term success

SOPs
Share-Settled Awards

Class A shares at fixed exercise price

Vesting
Set by the Board or CEO under each award agreement.

Term
Up to 10 years from grant.

RSUs
Restricted Stockn Units

Right to receive shares

Vesting
time- or performance-based, usually 3–5 years

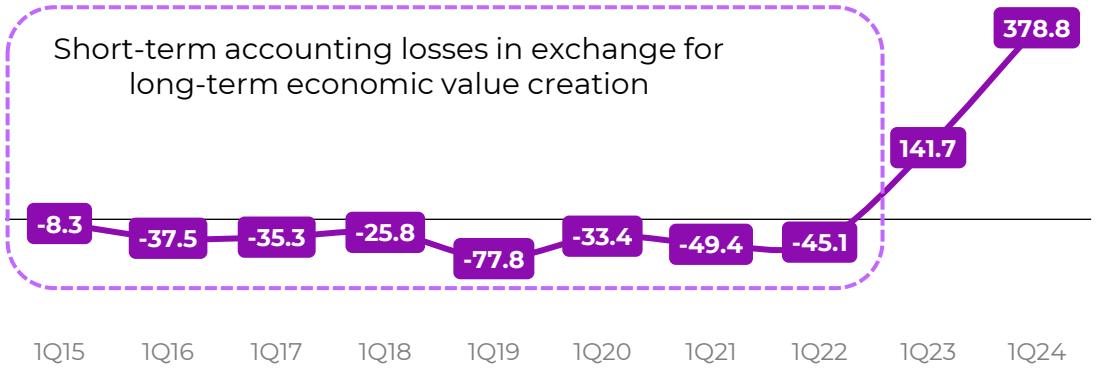
Term
No voting or dividend rights until shares are delivered

Since 2020

Goal: retention and ownership alignment for long-term engagement.

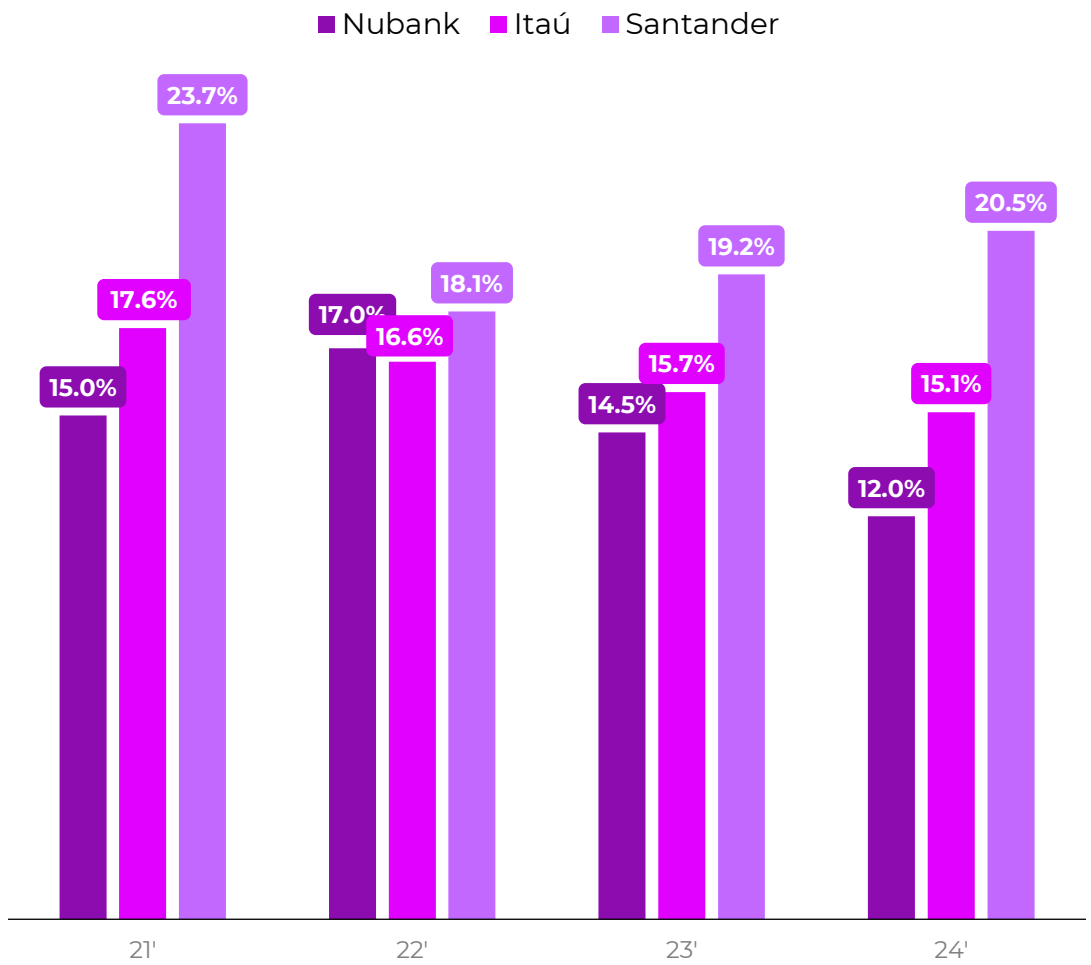
Culture-driven resilience turns growth into **profitability**

Net income (USD Mn)



Low turnover reflects **cultural engagement**

Employee's turnover



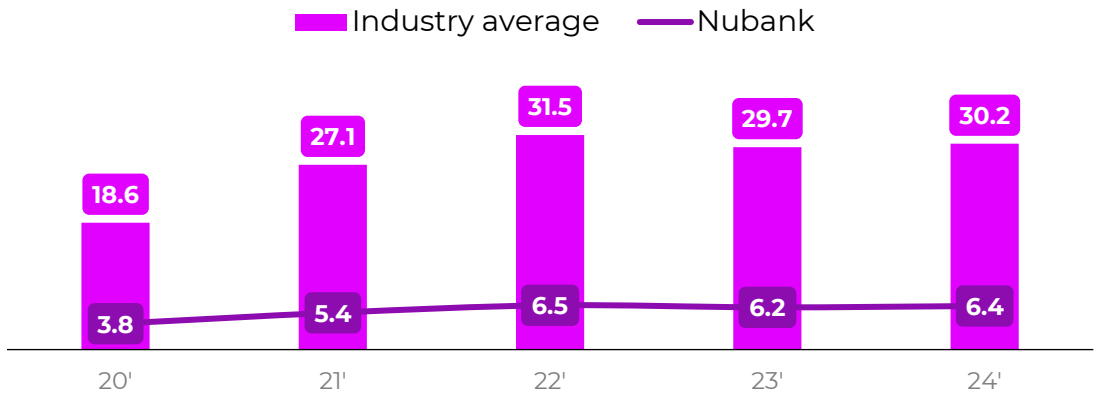
Sources: Banks' IR

The management culture creates a model driven by efficiency

Leadership built a culture of discipline and ownership that translates into **high efficiency** and keeps the **business viable**

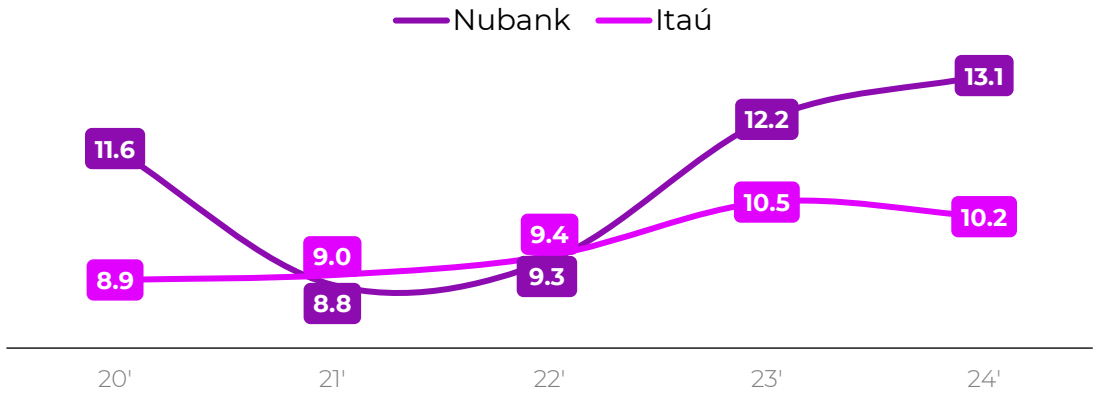
The efficiency begins in **customer's acquisition**...

Customer's cost of acquisition (USD)



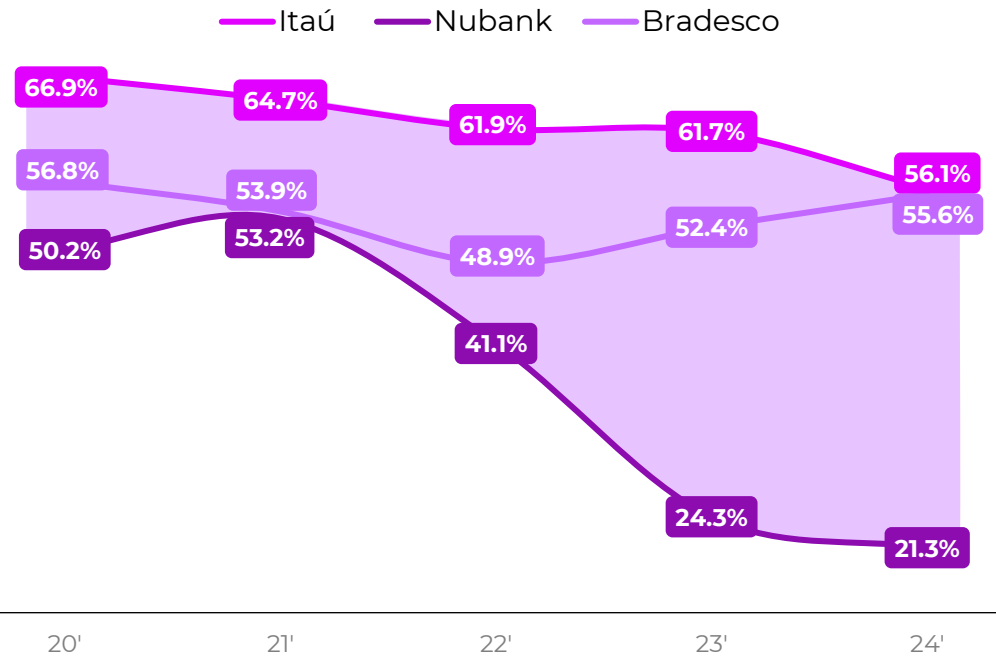
...and is **sustained operationally** through lean teams

Clients/employees ratio



This combination leads to a **high efficiency**

Operational efficiency (expenses/revenue)



To reach Nubank's operational efficiency, **Itaú** would have to cut costs that are equivalent to:

1. Firing **ALL** their employees

+

2. Liquidating **44%** of their tangible assets

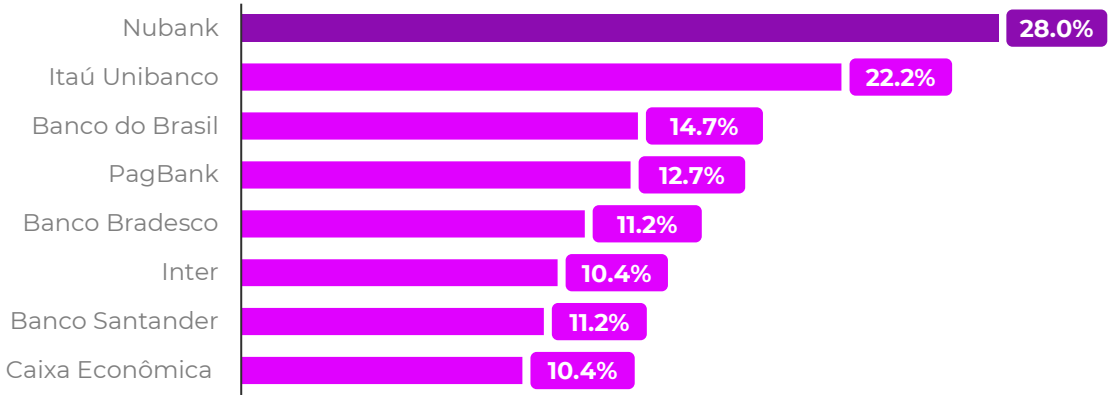
Sources: Nubank's IR, Bacen, Team Elaboration

Efficiency differentiator enables superior financial results

Nubank's operational discipline enables **great returns**, supported by **stronger margins** and **asset productivity**

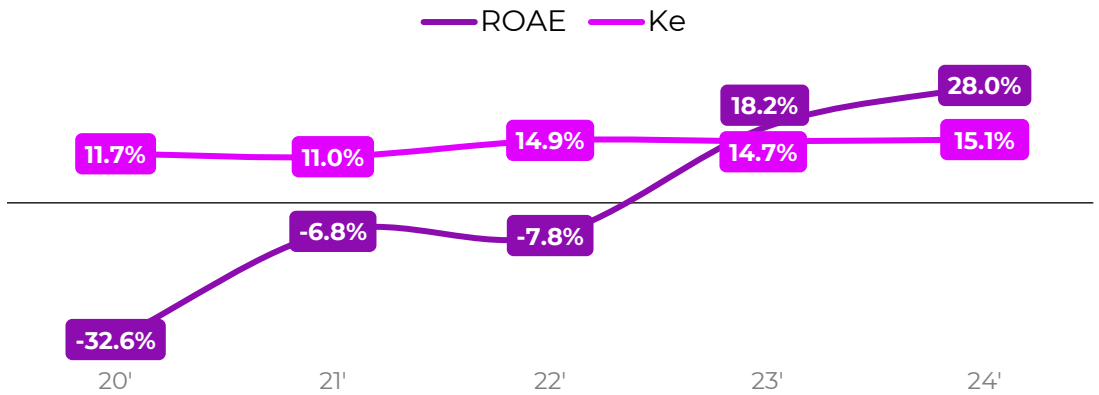
Efficiency and scale unlock **industry-leading returns**...

Banking industry ROAE's - 2024



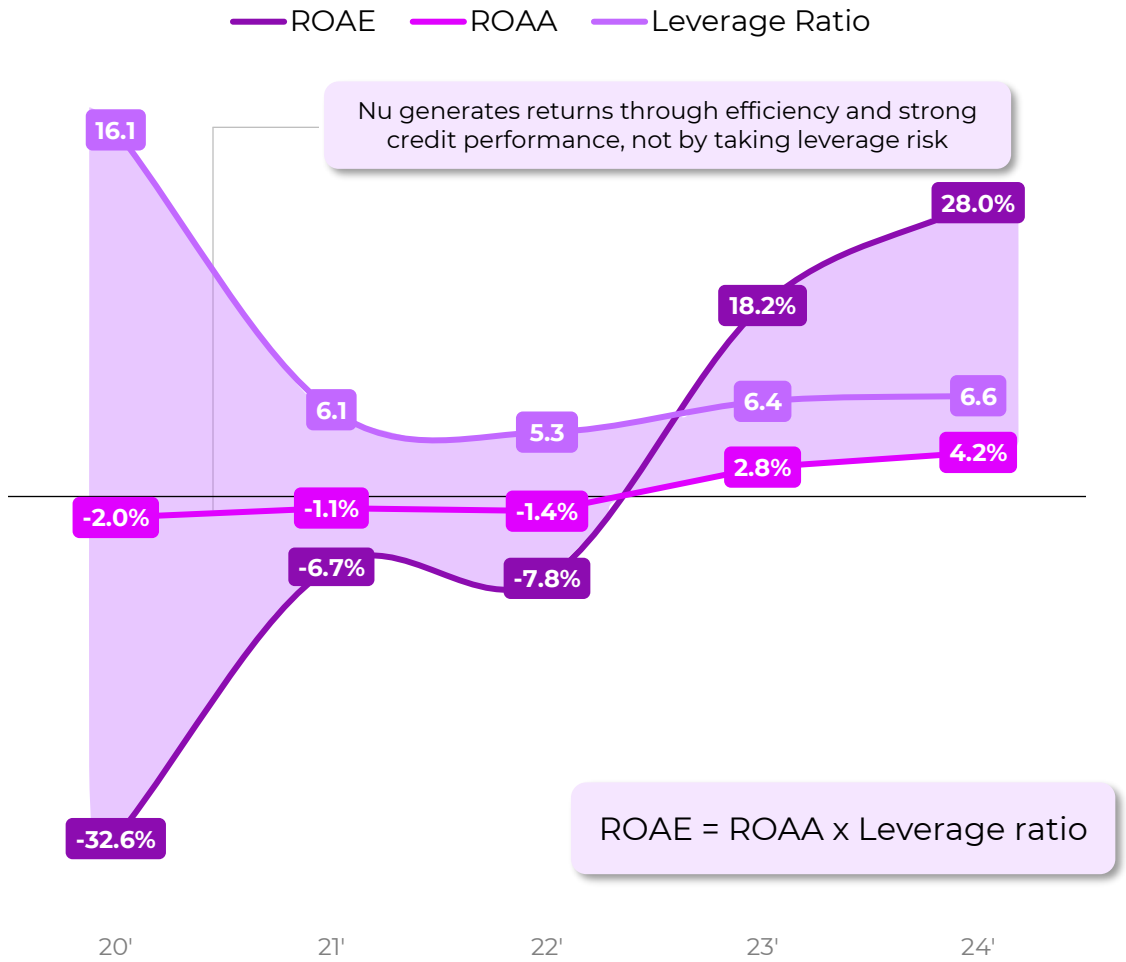
...and becomes **value creation**

ROAE's x Ke's evolution



A disciplined model that gets **stronger as it grows**

ROAE DuPont breakdown



Sources: Banks' IR, Team Elaboration

High usage today, higher
monetization tomorrow

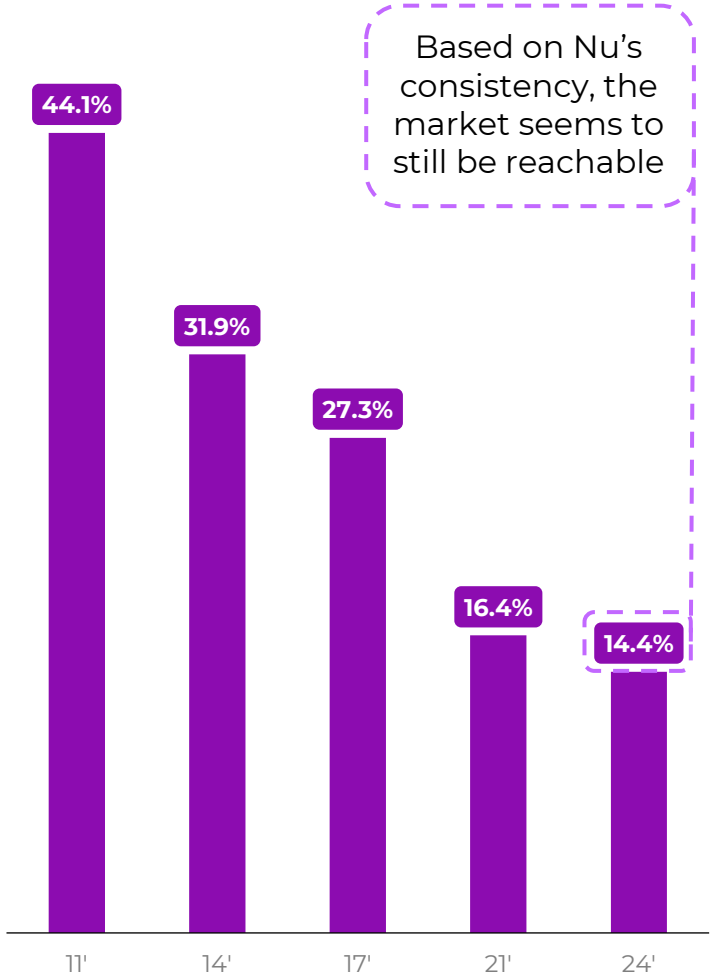


Nubank faces a digital ceiling in its national expansion

As Brazil's unbanked population shrinks, Nubank's future growth depends not on financial inclusion, but on **loyalty**

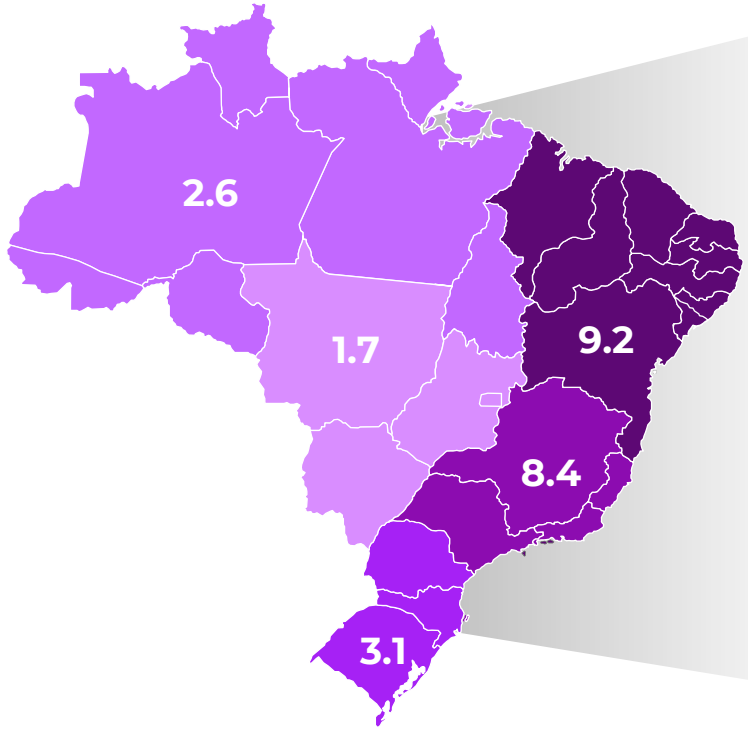
Unbanked's rate follows **Nu's growth**

Unbanked population (+15 years)



But is this population **addressable**?

Population with no internet access (Mn)



Unbanked beyond **digital reach**

Digital barriers limits national expansion

15+ years population:
173 million

Banked:
-142,5 million

No internet access:
-7,3 million

No phone access:
-5,2 million

TAM:
~18 million

"After years of growth driven by customer acquisition, the next phase will rely on stronger monetization of our existing base, by **increasing the ARPAC**."

*Nubank has **60%** of principality on their client's base*

Cristina Junqueira – Nubank's Founder and CGO



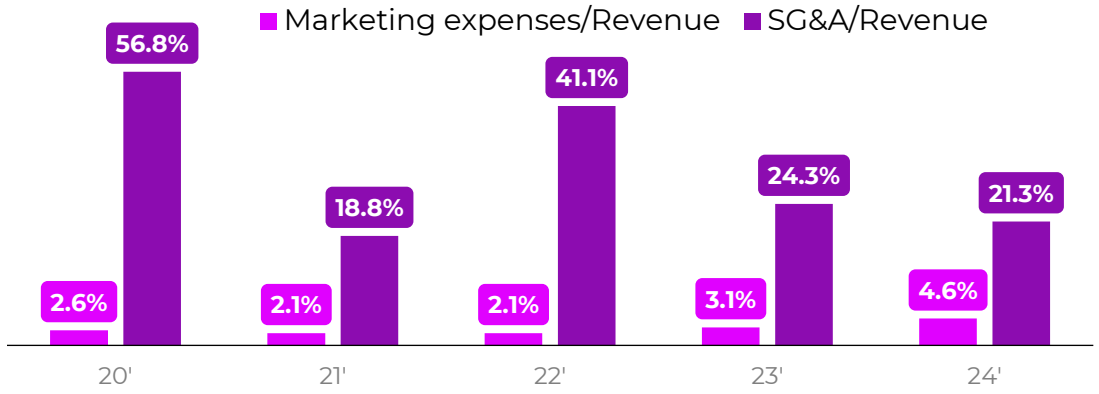
Sources: Statista, Nubank's IR

Customer captivity reinforces the scale Nu has already built

By investing more in **marketing** and becoming the **most searched fintech**, Nubank builds a **superior retention**

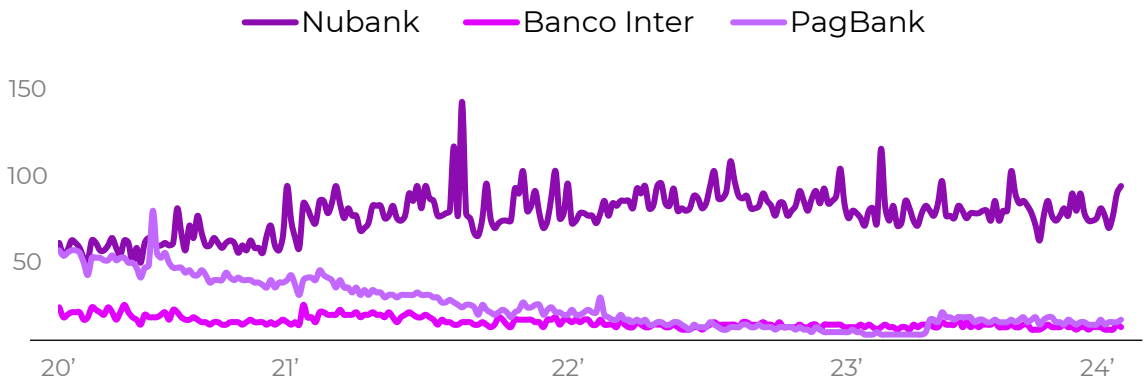
Nu reinforces its **brand** as operational expenses decrease

Marketing expenses x SG&A (% of revenue)



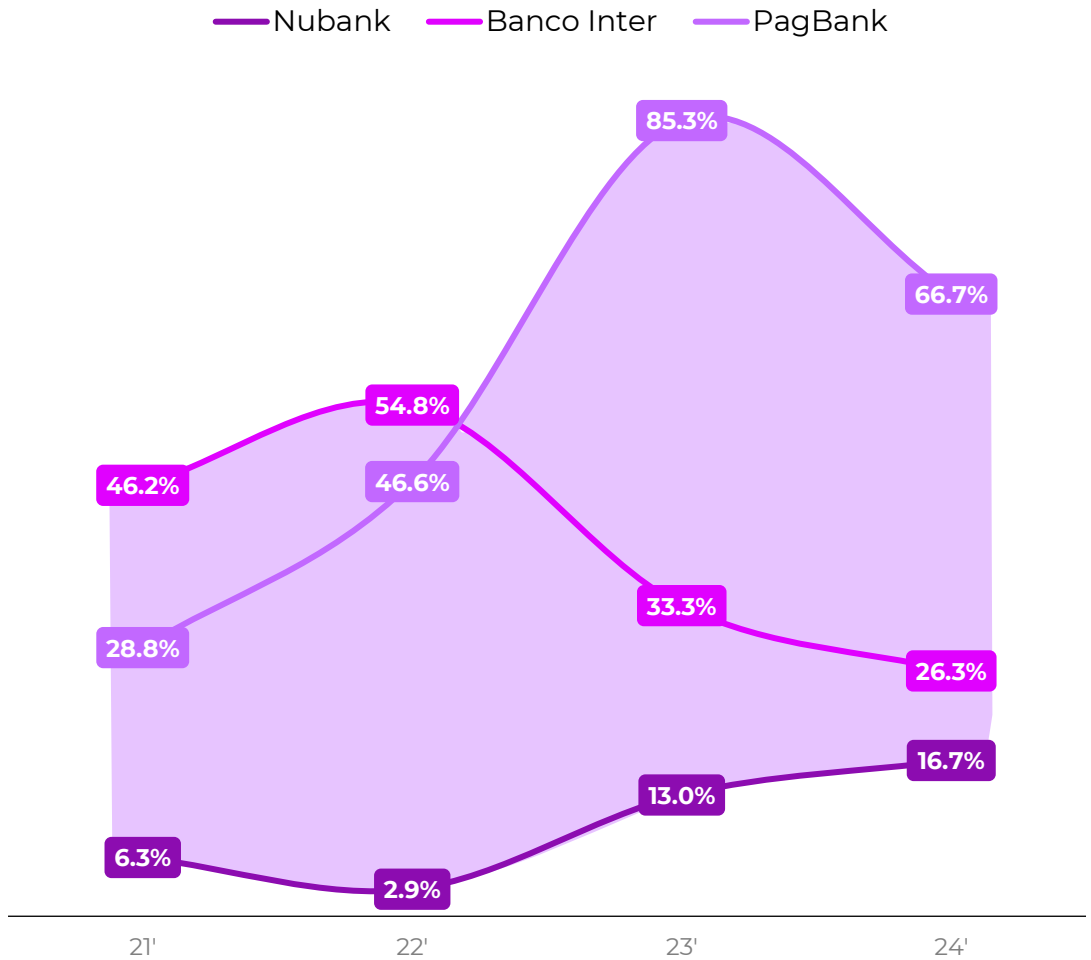
Brand relevance makes Nu the **most searched** fintech

Number of searches by Google Trends



Brand strength translates into **higher retention**

Fintechs' churning



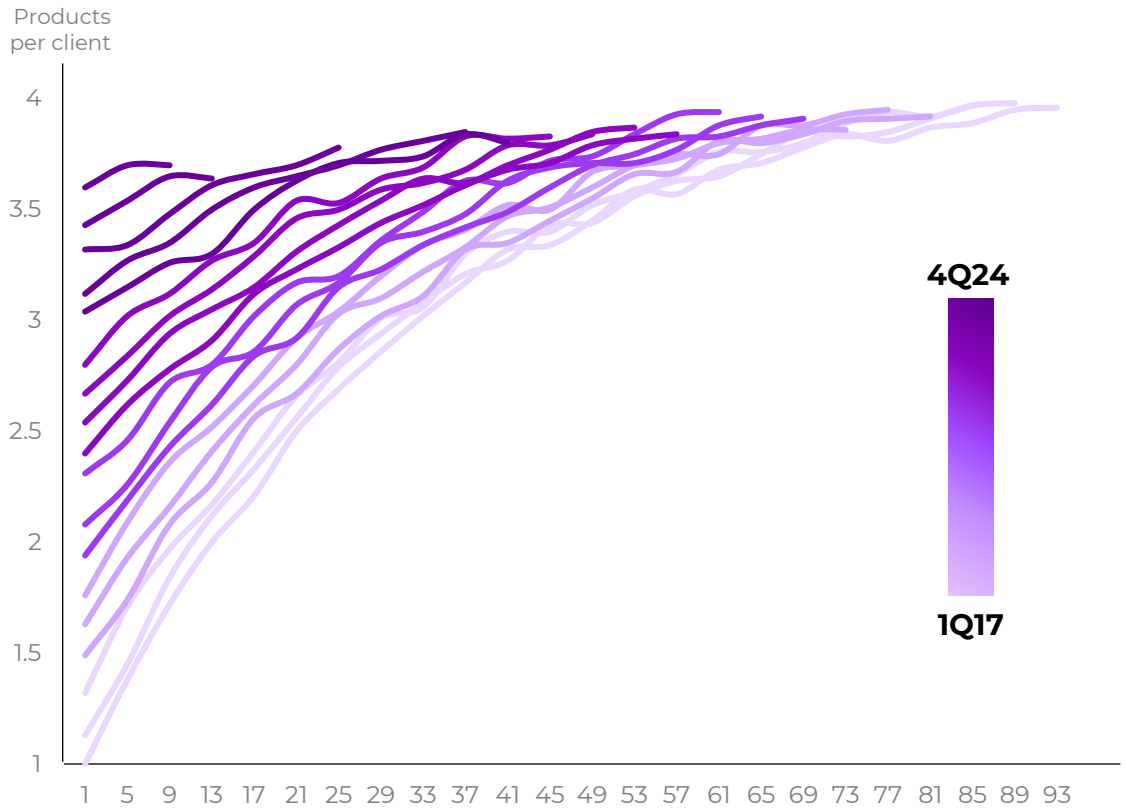
Sources: Nubank's IR, Google Trends

Branding lifts early adoption, retention drives lifetime value

Nubank's brand drives **higher product adoption** from day one, while retention **lifts average ticket** over time

New clients now join with higher **primary engagement**

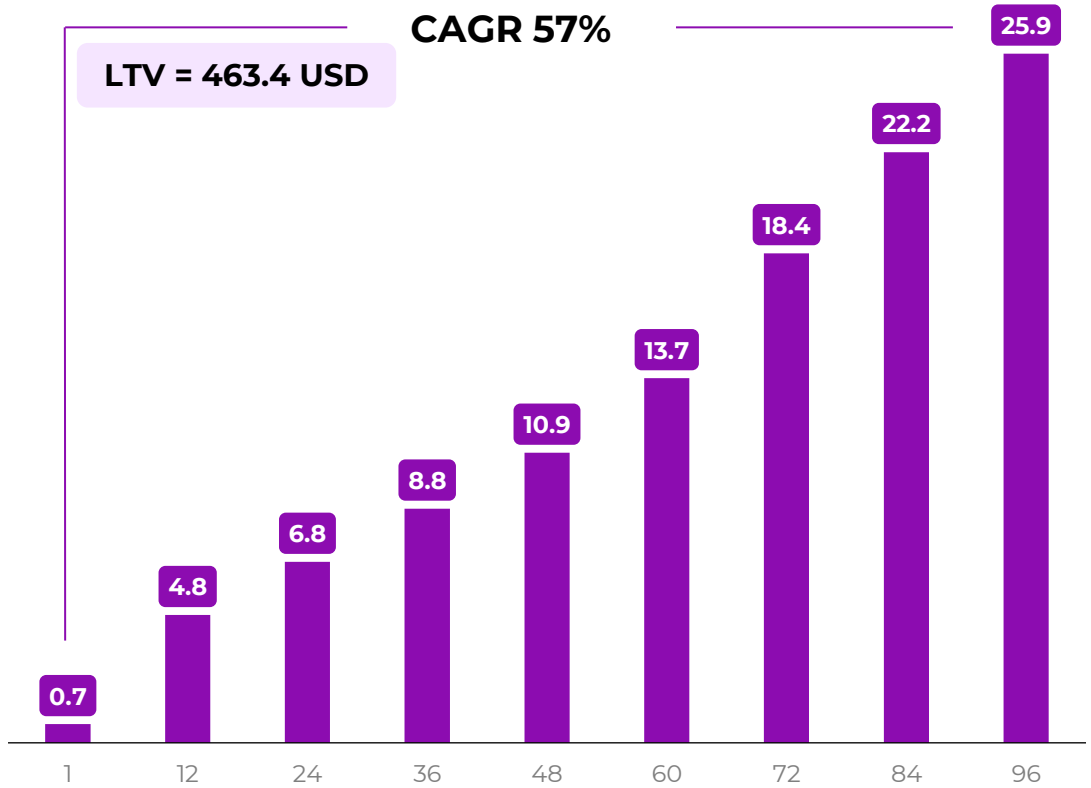
Average products per client by months the client is at Nubank



Nubank's strong brand drives new clients to adopt more products from day one

Long-tenured clients **increase** their **spending** over time

Monthly ARPAC by months the client is at Nubank (USD)



ARPAC rises as Nubank's **young customers** age, **earn more**, and deepen their engagement with the platform

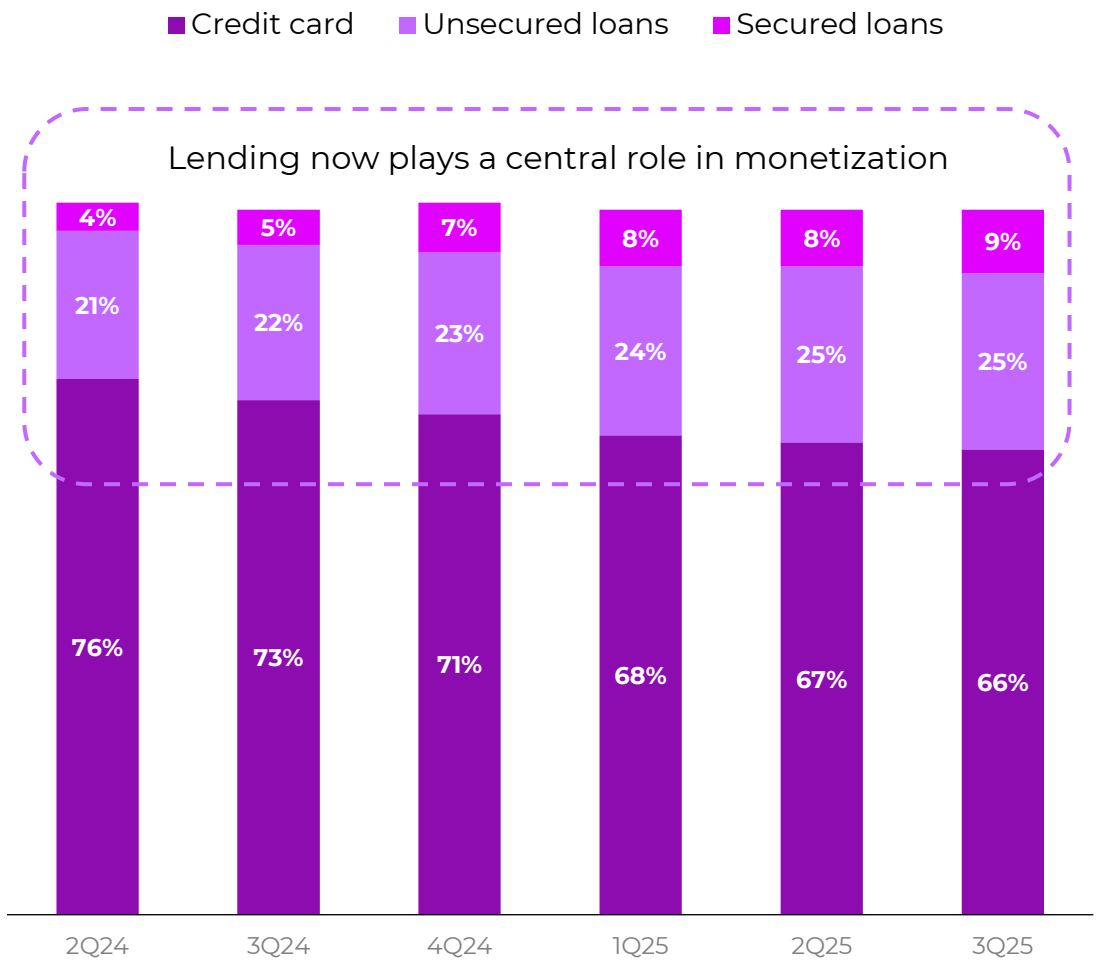
Sources: Nubank's IR, Team Elaboration

Lending becomes the foundation of product diversification

As engagement deepens, **credit products** scale and take a larger share of the portfolio

Credit gains relevance within Nubank's total portfolio

Credit portfolio



Diversified **lending products** expand credit offering

Secured

Public Payroll Loans
To public-sector employees and retirees
Low risk and rapidly scaling via digital onboarding

Private Payroll Loans
Fully digital payroll loans for private-sector workers
New product with elevated employment risk

FGTS-backed Loans
Loans secured by FGTS balances (Saque-Aniversário)
Fully digital and highly predictable performance

Unsecured

Traditional personal loans with no collateral
Higher-risk loans managed with dynamic models

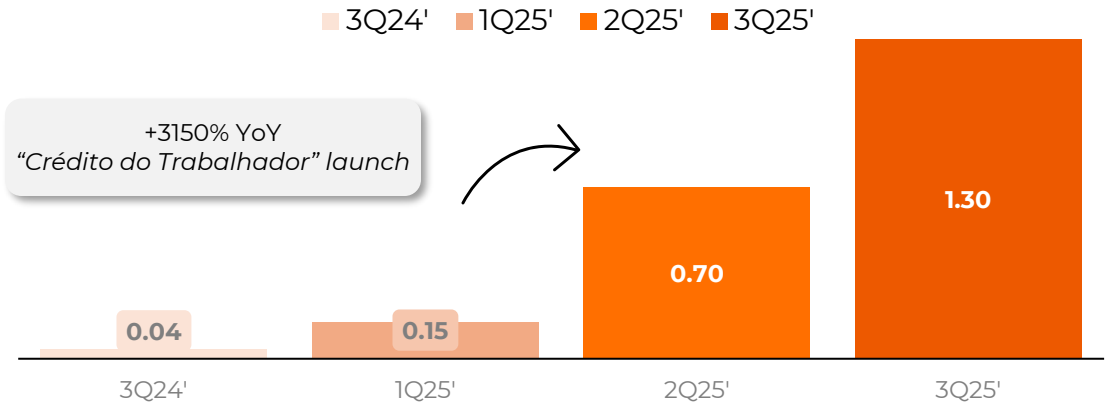
Sources: Nubank's IR

Banco Inter leads the recent private payroll market

A more stable customer mix allows Inter to **scale private payroll** aggressively, unlike **Nubank's higher-volatility base**

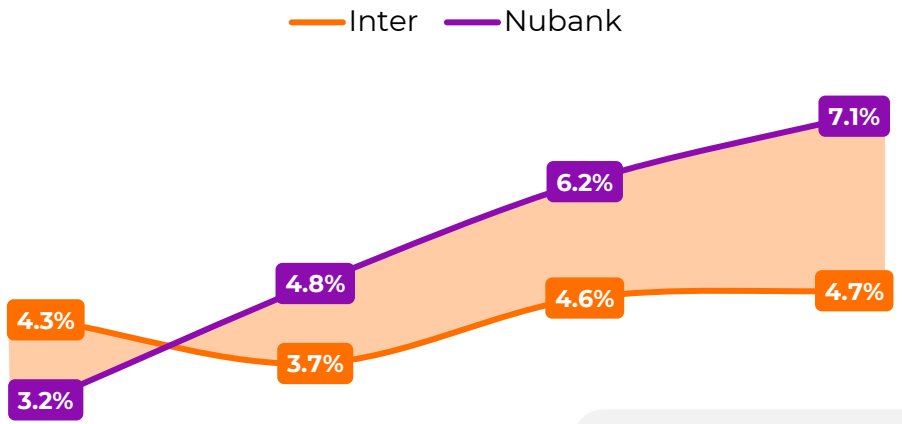
Explosive growth in Inter's **private payroll portfolio**

Inter's private payroll portfolio (USD Bn)



Inter grows faster thanks to a **safer base** than Nubank

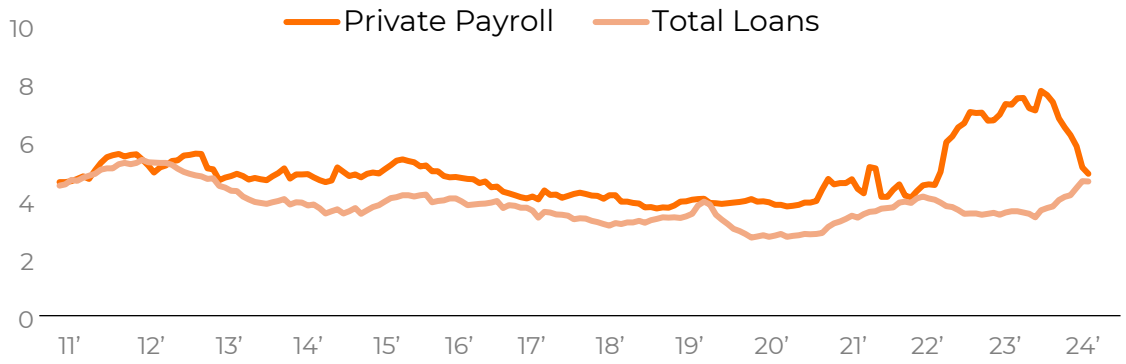
Nubank's x Banco Inter's NPL (>90 days)



Inter already operates with a **higher-income** customer base, what leads to lower structural risks

Rapid expansion comes with structurally **higher delinquency**

NPL (>90 days) – banking industry (%)



"Private payroll lending fits well with the bank's risk profile, with roughly 70% of originations coming from existing customers."

Alexandre Riccio – Banco Inter's CEO



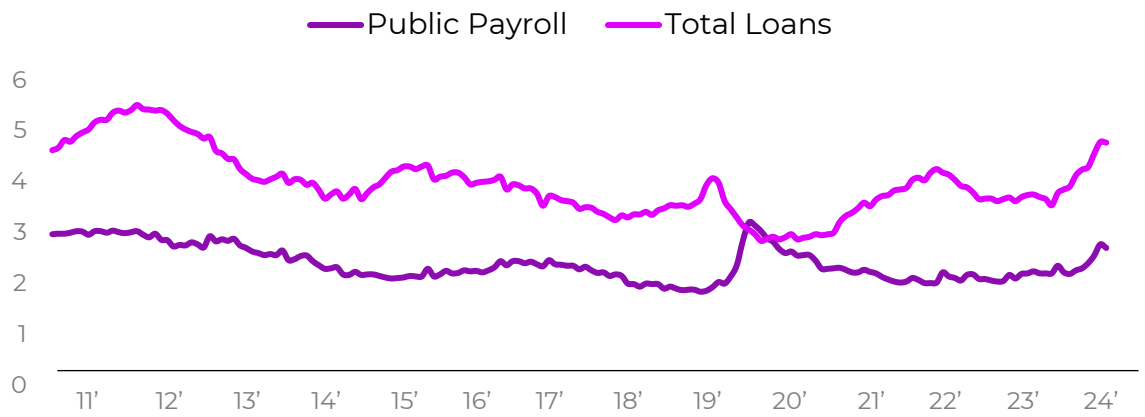
Sources: Fintechs' IR, Bacen

Inter takes risk, while Nu leads low-risk public payroll

Lower **structural risk** and **cheaper rates** position Nu to capture the next **refinancing wave**

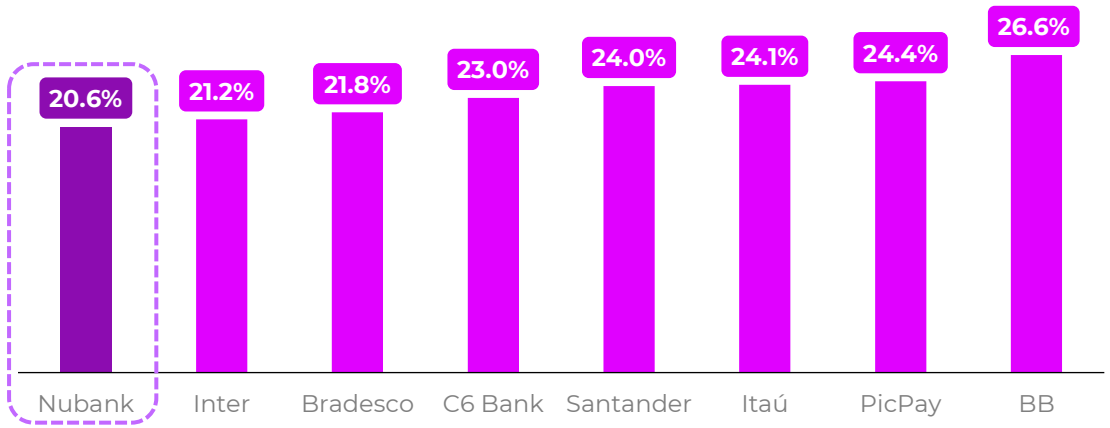
Public payroll carries structurally lower **delinquency risk**

NPL (>90 days) – banking industry (%)



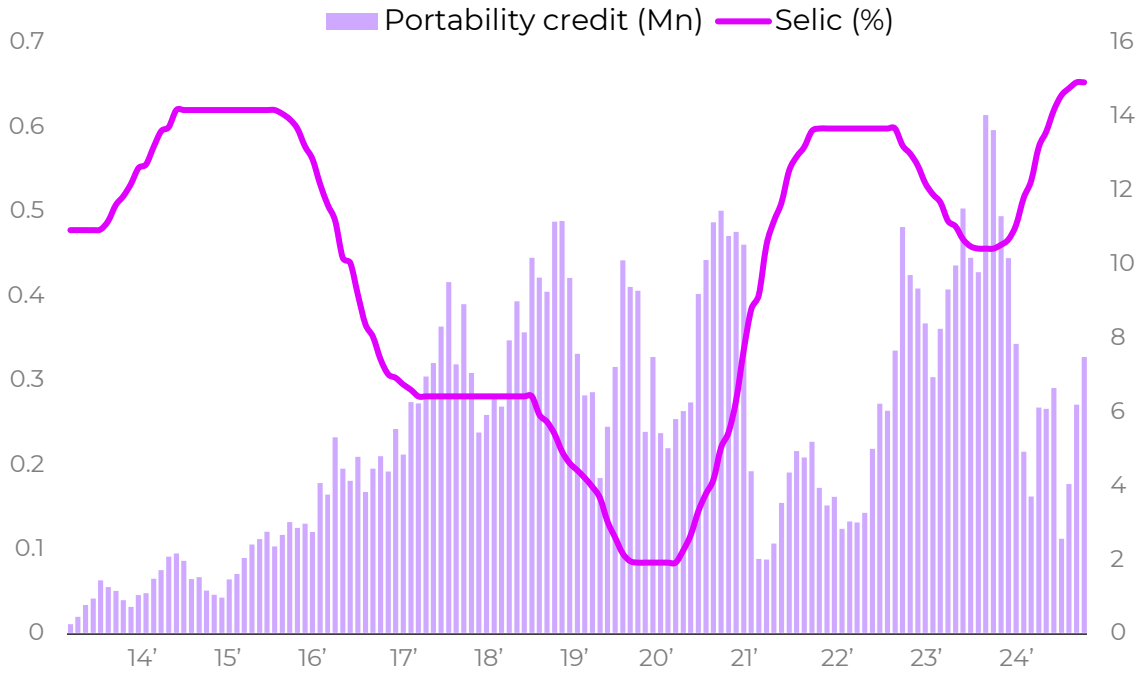
Knowing the lower risk, Nu offers some of the **lowest rates**

Public payroll loan interest rate – 3Q25



Rate cycles drive refinancing that favors Nu's model

Portability credit and Selic rate



"With **falling rates** and mature public-sector rails, public payroll loans offer a low-risk avenue where Nubank is set to gain **outsized share through its large customer base** and digital distribution."

Guilherme Lago – Nubank's CFO



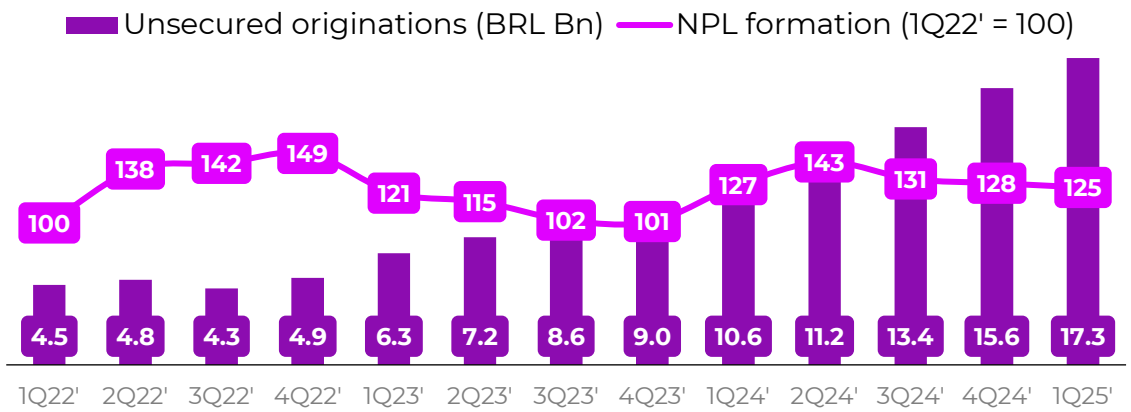
Sources: Nubank's IR, Bacen

As in public payroll, Nubank dominates the unsecured credit

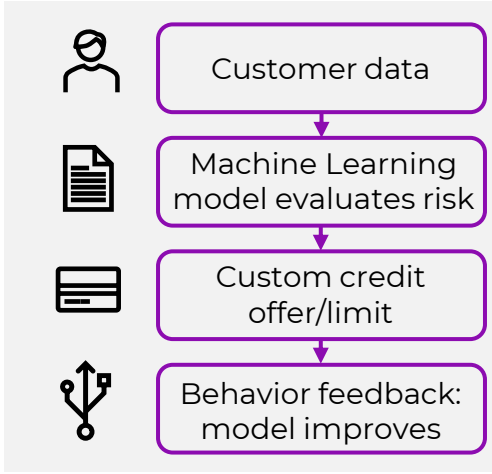
Nu expands safely into unsecured lending through **disciplined growth** and a uniquely powerful **AI-driven credit engine**

Scaling unsecured lending without losing control of **risk**

Unsecured loans originations x NPL (>90 days) formation



Better origination comes from a proprietary **AI engine**



06/26/2024

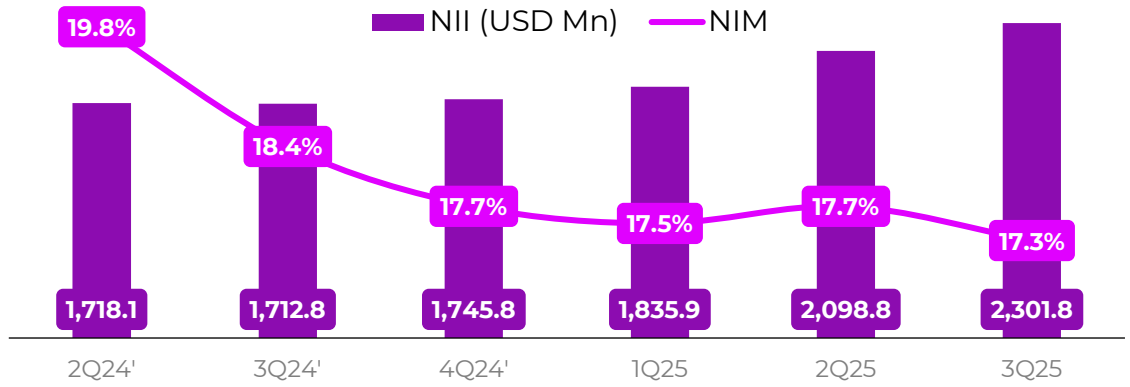
Brazil Journal

Hyperplane: Nubank's acquisition to bring AI into credit decision-making

"Until Hyperplane , no one had built AI models that outperformed traditional regression-based credit algorithms"

Earnings rise as the loan book scales with **greater efficiency**

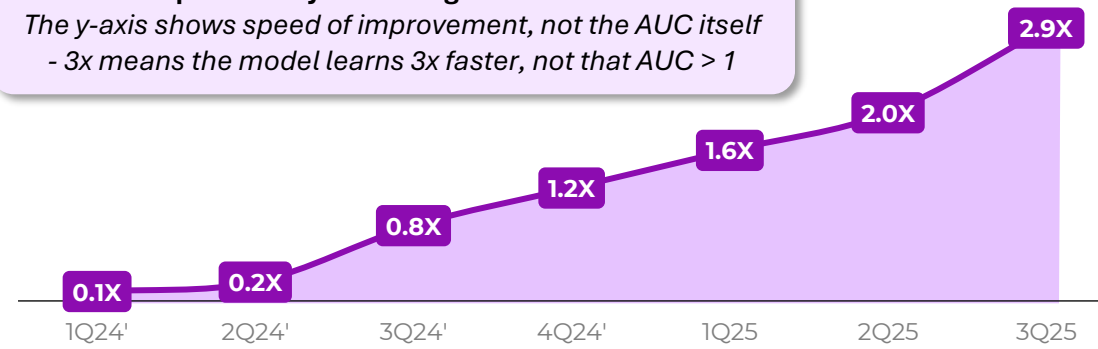
NII x NIM



Faster-learning models enable **safer expansion**

AUC (Area Under the ROC Curve) improvement (x)

AUC = probability of ranking a future defaulter
The y-axis shows speed of improvement, not the AUC itself - 3x means the model learns 3x faster, not that AUC > 1



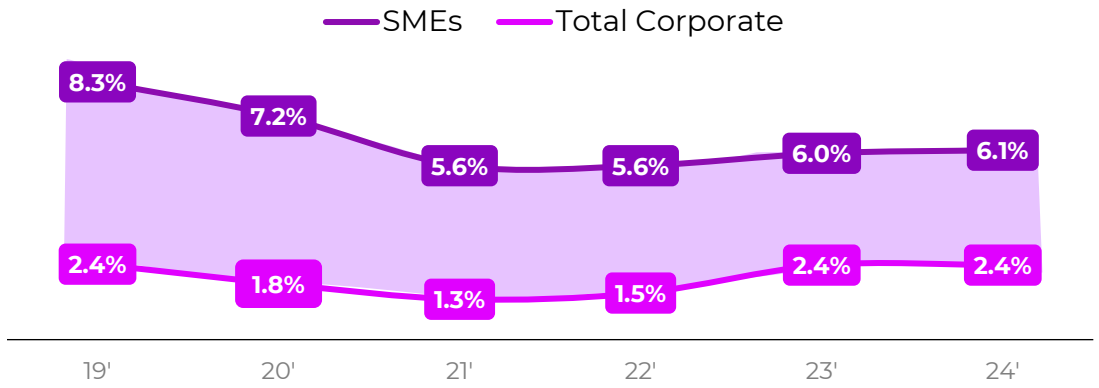
Sources: Nubank's IR, Brazil Journal

In SME's lending, Nu unlocks a unique advantage by NuPay

Nubank turns SME credit risk into an opportunity through **superior underwriting**

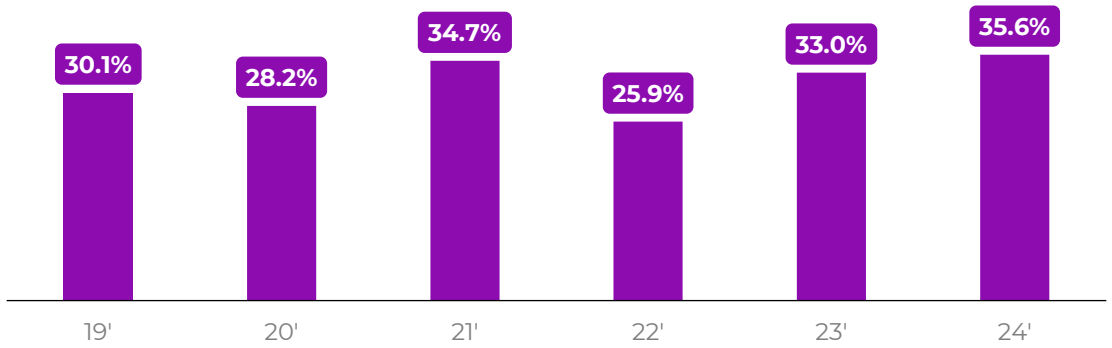
SMEs carry **higher credit risk** than corporate averages

SME's x Total Coporate's NPL (>90 days)



Weak underwriting limits credit access for small businesses

Share of SMEs that successfully obtained bank credit



NuPay unlocks better **underwriting through data**

A data-reinforcing flywheel built for SME lending

What is NuPay?

NuPay is a **proprietary payment method** that streamlines checkout, increases approval rates, and feeds data that **improves underwriting.**

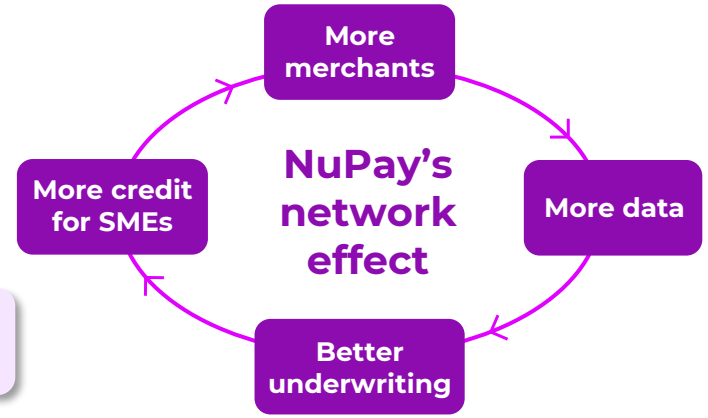
Why does it work?

- Proprietary **behavioral signals** from every transaction
- **Real-time** merchant **cash-flow** visibility
- **Unified transaction** graph across Pix + Card + NuPay
- Continuous, adaptive **underwriting improvement**

SME's TAM *(gross profit)* **11 Bn USD**

Nubank has **less than 1%** of **share** in this market

Low share means that every point of **gain is huge**



Sources: Sebrae, Nubank's IR

In SME's lending, Nu unlocks a unique advantage by NuPay

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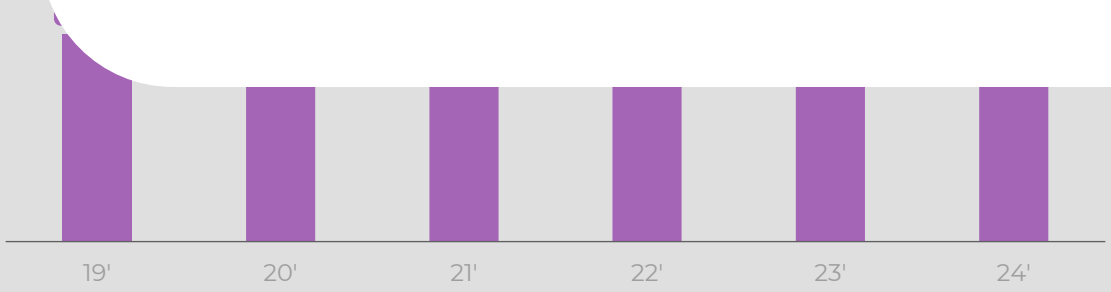
NuPay unlocks better **underwriting through data**

A data-reinforcing flywheel built for SME lending

The next era of Nubank's growth is about quality over quantity

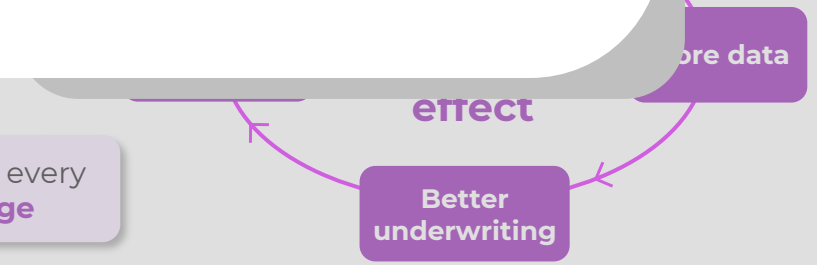
1. **Public payroll** loans lift ticket with **lower risk**
2. Traditional **unsecured personal** loans monetize due to **deeper underwriting**
3. **SME's credit** opens an entirely **new profit pool**

→ A richer, safer credit mix **drives** structurally **higher ARPAC**



in this market

Low share means that every point of **gain is huge**



Sources: Sebrae, Nubank's IR

LatAm becomes Nubank's next compounding engine

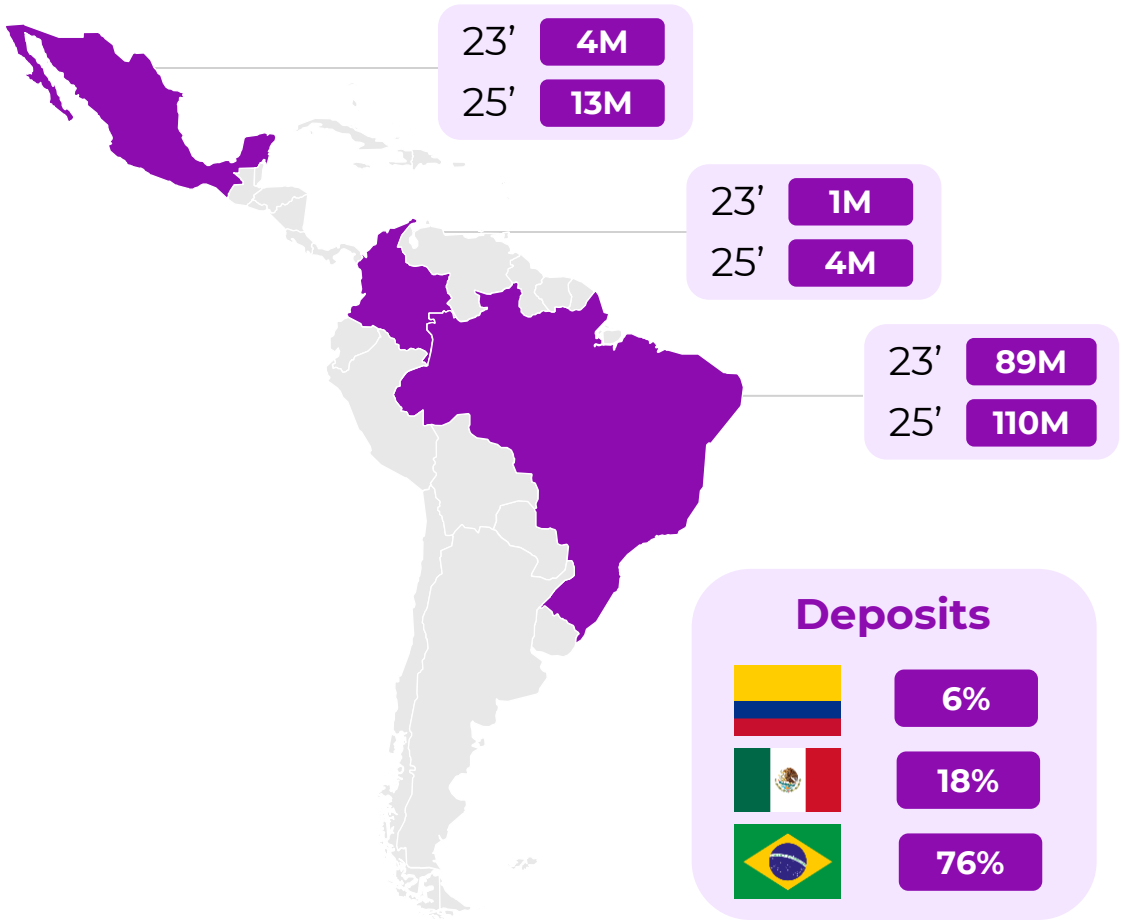


Mexico: a complex market unlocking Nu's next growth

Low banking penetration and **high cash usage** create the conditions for Nubank's next growth cycle

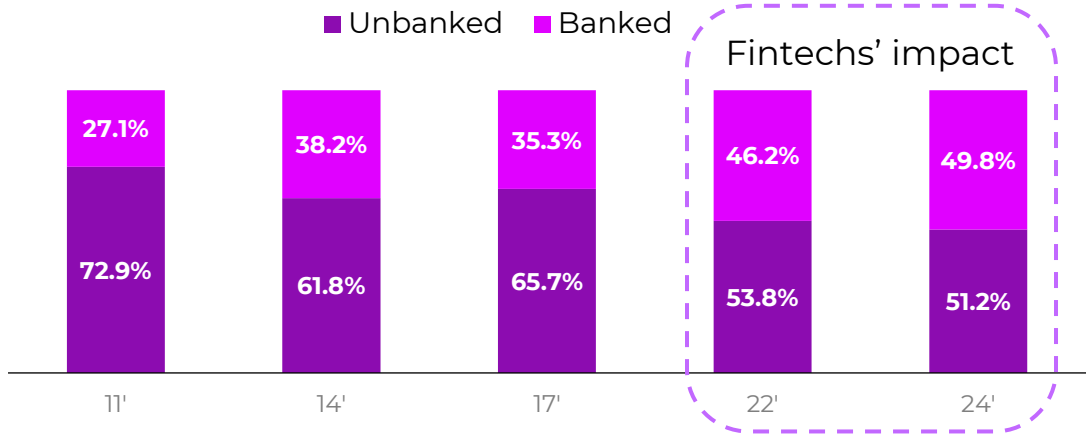
The growth engine is now powered by **Mexico's operation**

Number of clientes(Mn) and share of total deposits by country - 2025



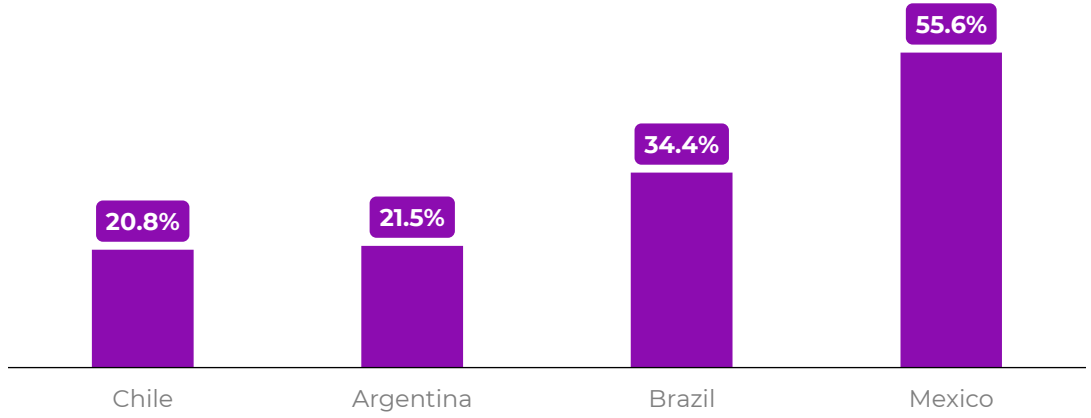
A country that fit's with **Nubank's growth avenue**

Mexico banked population



But has it's on own **particularities**

Transactions in physical cash by country - 2024



Sources: CNBV , Nubank's IR, World Cash Report

A market that challenged, a model that adapted

Adapting a universal product to Mexico's cash-based economy **unlocked trust and deposits**

A universal product **built on simplicity**



Nubank's Universal formula

1. Digital onboarding
2. No-fee credit card
3. Transparent interface

But **adapted** to Mexico's cash-based reality

Nu Account became the bridge for Mexico's cash-based population

OXXO

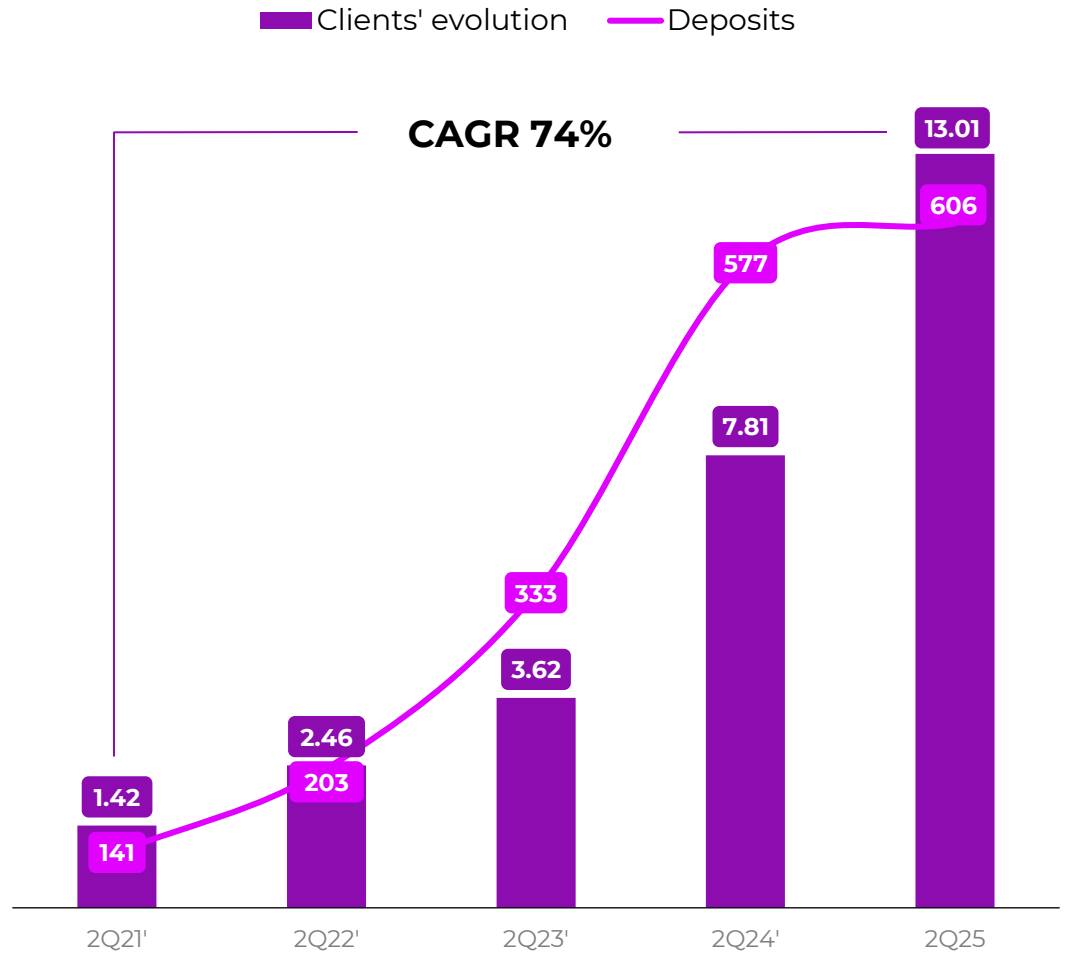
Cash-in/out via **OXXO +20k stores**

Money's **digitalization Cash replaced**

Bill payments **Habit formed**

They understood Mexico, and **Mexico trusted back**

Nu's average deposits per custumer (USD) and clients' evolution (Mn)



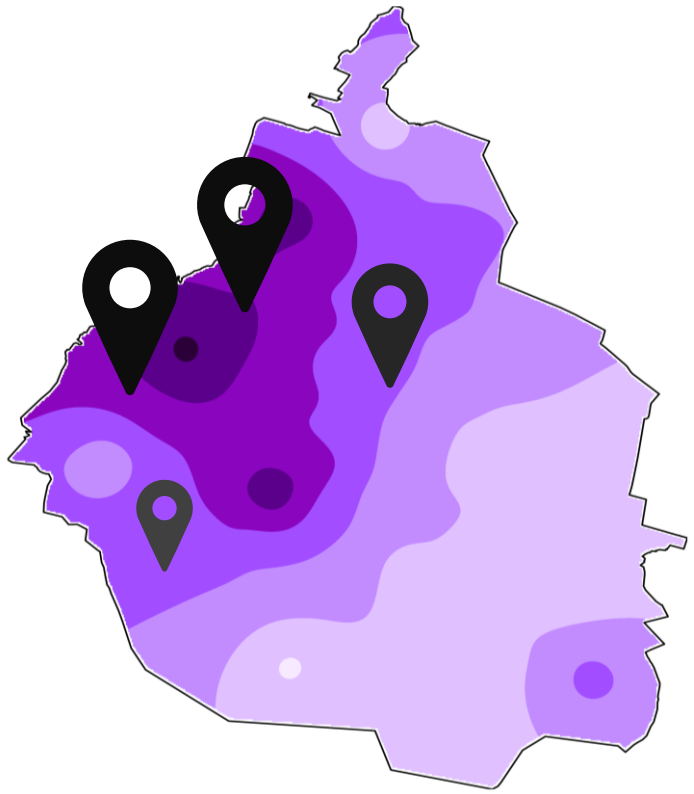
Source: Nubank's IR, OXXO/FEMSA Disclosures

What Nu discovered: an excluded middle class

Mexico's middle class remained structurally **sub-banked** due to U.S.-linked financial dependency, a gap **captured by Nu**

The **mid-income** segment Mexico's banks **never captured**

Per capita annual income distribution (MXN) x bank branches' location in Mexico City





High concentration of bank branches

Low concentration of bank branches

Income level

3500 70714 106429 142143 16000

Due to regulatory dependency on the **U.S. financial system**

The incompatibility between local behavior and U.S. compliance

High **informality** in income sources

Weak **documentation** trail

Cash-intensive behavior

Mexican banks rely on the **U.S. financial system**

Subject to strict U.S. rules **(OFAC / AML)**

Non-compliance **= loss of U.S.-linked** revenue

But the Nu's model was able to **capture this segment**

Performance of Nu's high-ticket products within the middle-class

In Mexico, **41%** of Nu's customers belong to the **middle class**



Cajitas

Crédito Nu Mx

3× faster ramp-up

Sources: CNBV, Nubank's IR, Google Maps, INEGI

A newly acquired middle class drive ARPAC upside

Projected potential ARPAC for Mexico under different modeling assumptions

Even under **conservative** assumptions...

Model assumptions of the average potential ARPAC in Mexico

- Brazil as the **reference point** for Mexico's ARPAC maturation curve
- Mexico adjusted with a **24,8% haircut**
- Potential clients CAGR (25'-29'): **17,9%**
- Mexico's income-adjusted ARPAC potential = BR ARPAC × 2.00

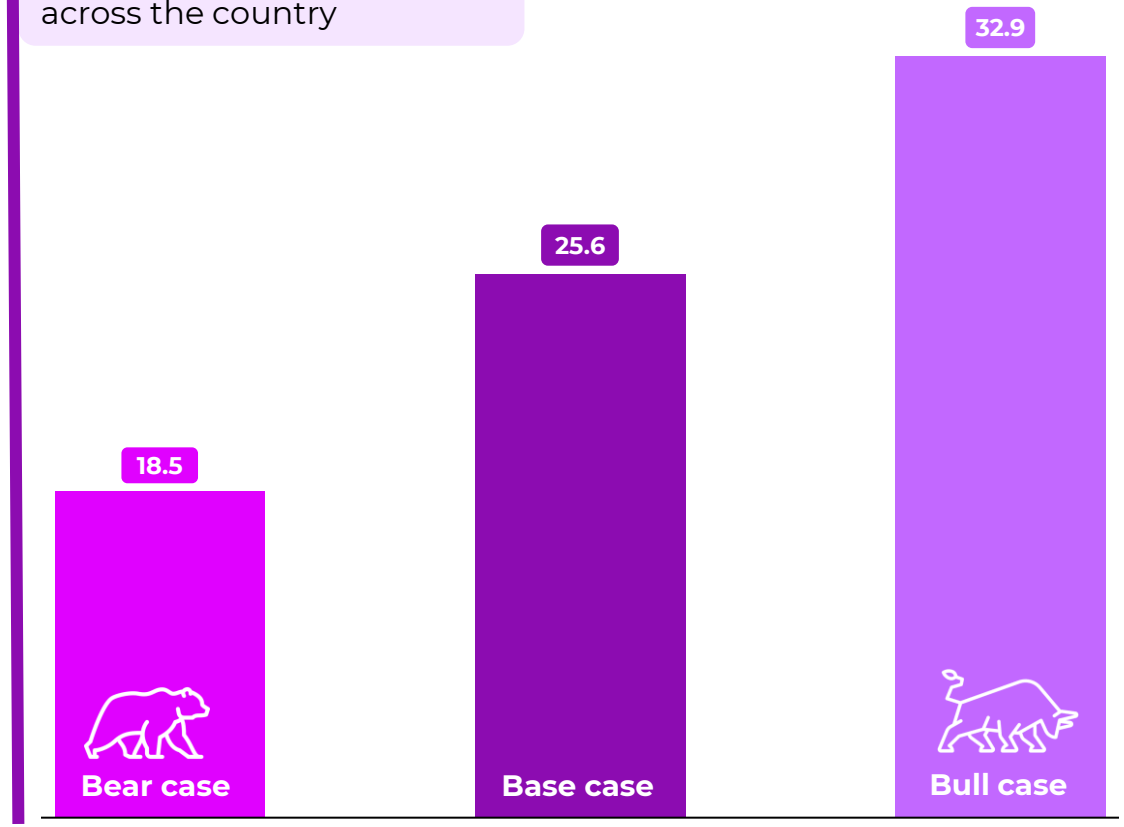
....ARPAC shows **substantial upside**

Analysis of the average potential ARPAC in Mexico in 2029 (USD)

Stressed assumption

Variation in ARPAC depth across the country

MX ARPAC = 12.5



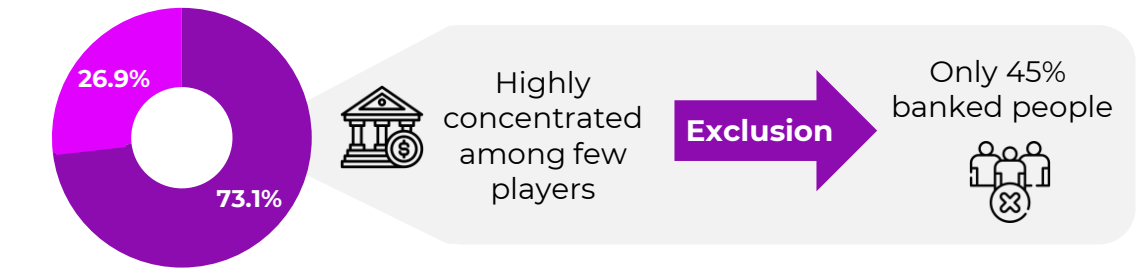
Sources: Teams Elaboration, Nubank's IR, INEGI

The next wave starts in a market built for fintechs: Colombia

Legacy-heavy incumbents shape weaker products and leave room for **fintech innovation**

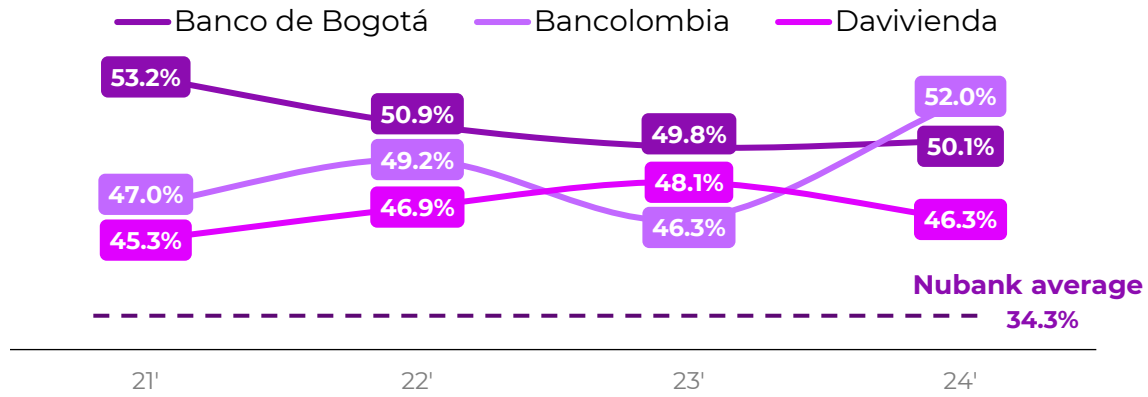
A **concentrated system** that never scaled outward

Market share of the four largest banks



Institutions anchored to **expensive operating cores**

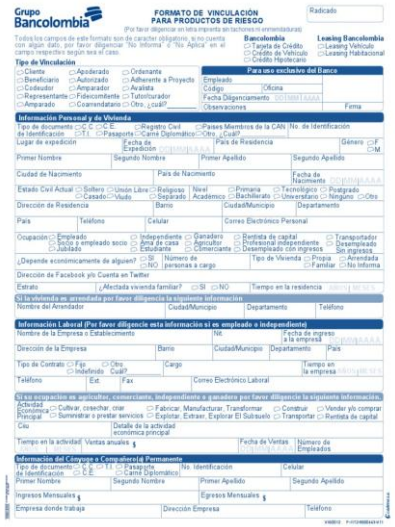
Efficiency ratio comparison across major Colombian banks



And offerings shaped more by **constraints** than customers

Operational and product constraints across major incumbents

What we found across all incumbents



Bancolombia · BBVA · Banco de Bogotá · DAVIVIENDA

Credit decisions still run in monthly batches: **approvals aren't real-time**

No dynamic credit limits: increases require manual PDF documentation

Salary-linked credit dominates, excluding Colombians in the informal economy

"In Colombia, incumbents kept rigid, one-size-fits-all credit models, unintentionally **opening the door for more flexible fintechs**"

David Vélez – Nubank's Founder and CEO



Sources: SFC, Bank's IR, Banco de la República

But Nu's cost advantage puts it far ahead of local fintechs

Nu brings a **Brazil-sized cost engine** into a market that has a legal limit, and startups operate with **high-cost structures**

The market has a **legal ceiling**

Maximum permissible interest rate: 1.5x certified IBC

Usury Law

Brazil	Colombia
Banks **Exempt**	Strict **Universal** Cap
No legal limits	Legal Limit = 1.5x IBC
High spreads	Max **~25% APR**

But Nubank brings its **efficiency into Colombia**

Most of Nu's operational backbone sits in Brazil, not in Colombia



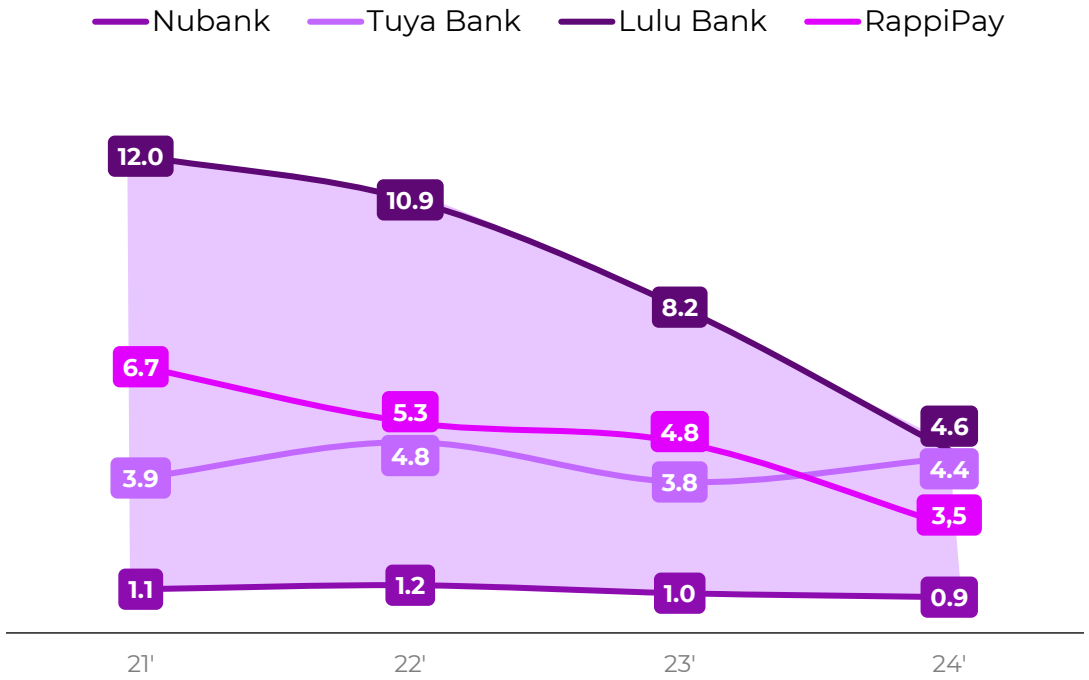
São Paulo, Brazil

The cost sits here in Brazil

Fixed cost	More than
~80%	**120Mn**
Sit in Brazil	Clients

So they have a huge **differentiator** affecting the smallers

Cost to serve among colombians fintechs (USD)



Lulo Bank announces **reduction** in savings account yields: New conditions effective June 1st

la Repubblica

Tuya's portfolio **collapses by 40%** as customers flee, driving unit costs up despite aggressive budget cuts

elCOLOMBIANO

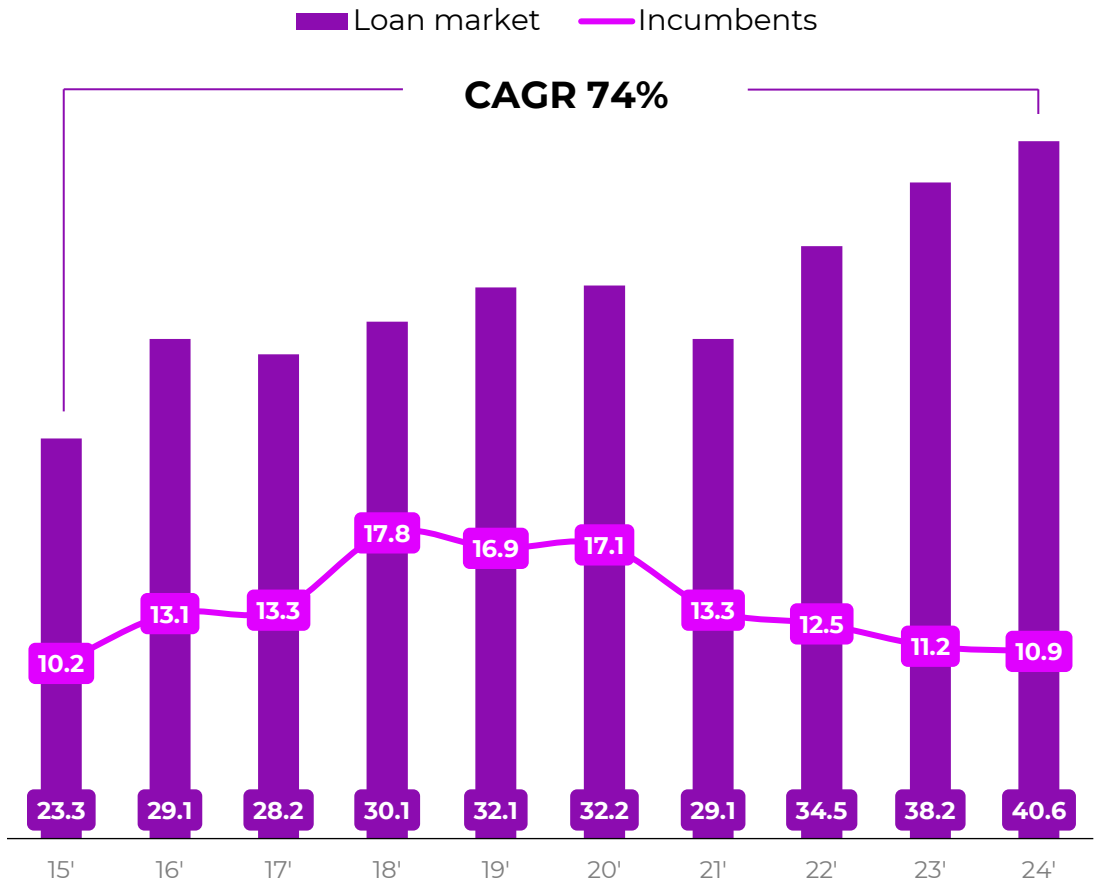
Sources: Nubank's IR, SFC, La República, El Colombiano

Higher efficiency allows Nu to unlock Colombia's loan market

A structural opportunity where Nu has **proof**, **scale**, and a **clear path to leadership**

A fast-growing market **incumbents failed to follow**

Consumer loan-market growth vs. incumbents' share (USD bn)



And still **65%** of Colombians don't have access to formal credit

NuControl proved Nu can reach **borrowers banks excluded**

A pilot that showed real adoption and far higher approval rates

nu bank **Control**

1-year pilot 5 with selected customers

23% early activation

Nu approves **53%** of loan applications vs. **15%** in incumbents

Validation to expansion: two products to **win the segment**

Two credit products designed to capture distinct borrower segments

Dual-credit launch

Préstamo Ligero → Up to COP 5.2M designed for **new-to-credit** users

Préstamo Personal → Up to COP 45M for **mature, proven** customers

Valor

"Nu secured **USD 150M** to finance and scale its Colombian operation"



Sources: SFC , Nubanks IR, Valor econômico

Reaching this segment opens a strong growth path

Loans unlocks **mass-market expansion** and **sustained ARPAC uplift**

In Colombia, the **acquisition via card** is not totally efective

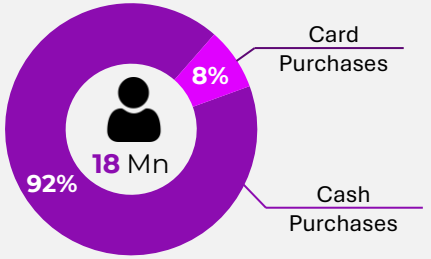
Cards don't solve the daily needs of Colombia's low-income segment

What leads someone to choose **Nubank card?**

- Daily **convenience**
- Acess quick **liquidity**
- Built **credit history**

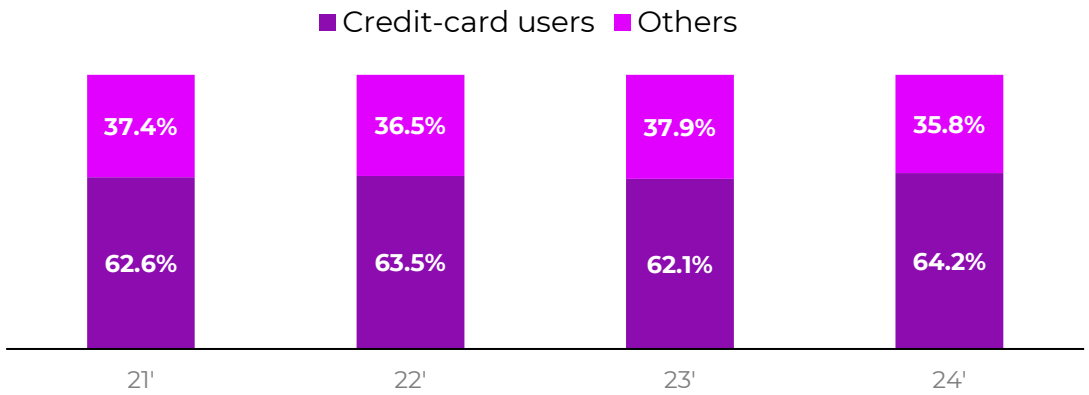
Low-income Colombians have **low** daily need for a card

Low-Income population Payment Split



And a stable share of borrowers remains **card-less**

Share of borrowers with and without credit cards in Colombia



Thus, Nu unlocks a **borrower base** that they couldn't reach through cards

Colombia's credit cycle becomes Nu's most powerful acquisition engine

New segment **captured**

Loans meet a real, **daily need: 54%** borrow for essentials

Engagement rises

Loan management drives **frequent app use**

Retention strengthens

Nu nudges users into the **right service at the right time**

ARPAC **expands**

Credit users adopt **more services**, lifting ARPAC

Sources: SFC, Nubank's IR, INEGI

Reaching this segment opens a strong growth path

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Share of borrowers with and without credit cards in Colombia

But can **Mercado Pago** threaten Nubank's lead in LatAm?



Sources: SFC, Nubank's IR, INEGI

Meli: the giant powering Nubank's expansion in Latin America

Meli reshapes everyday commerce, unlocking a digital flow of users and transactions that directly **accelerates Nu's expansion**

A **vicious cycle** between merchants and consumers

A deeply rooted cash cycle in Mexico and Colombia





"In two-sided payment markets, low merchant acceptance and low consumer adoption lock the system into a **cash-based equilibrium"**

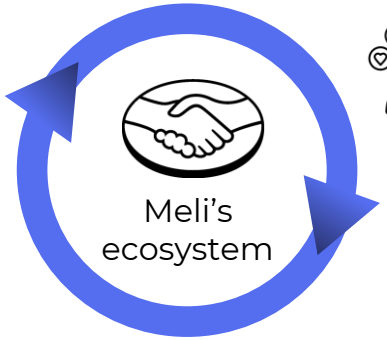
Gradon Nicholls — LA researcher, Bank of Canada

But Meli's model digitalizes **both sides of the market**

Meli's bussiness model

Merchant credit

Digitalizes small merchants (QR, POS, links)

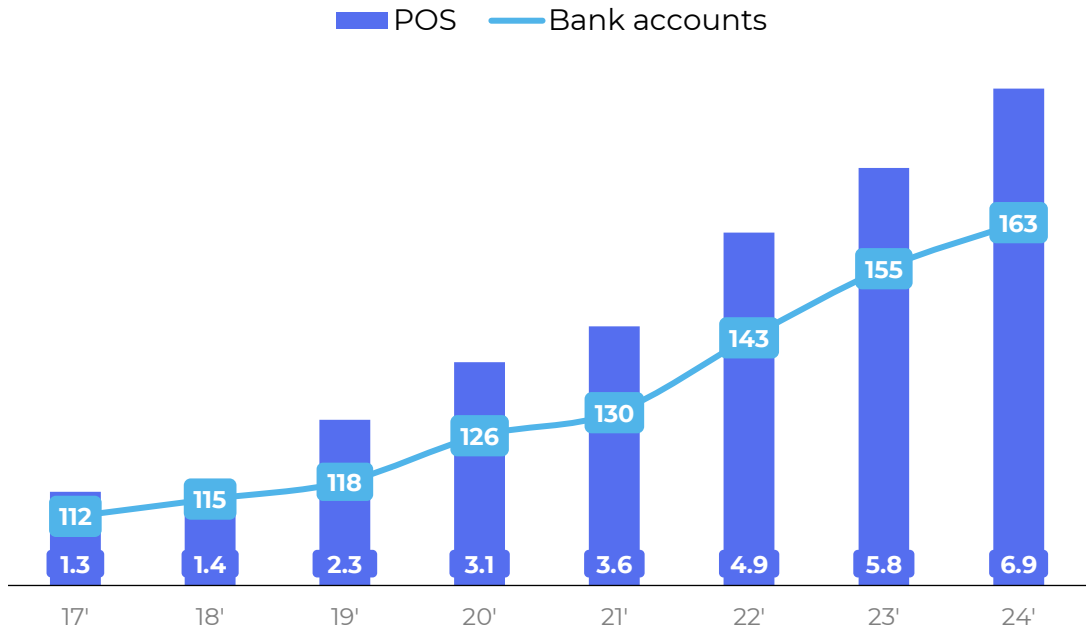


Consumer credit

Provides consumer **wallets and checkout** options

And this pulls **new demand** into Nubank

Annual POS terminals (Mn) vs. bank accounts (Mn) in Mexico.



+13 Million clients

CAGR **97%** last year

+1 Million POS

CAGR **52%** last year

Sources: Bank of Canada, INEGI , Meli's IR

But when it comes to consumer credit, only one model wins

A **full-bank model** unlocks **better funding** and stronger credit performance

Different **licenses**, different economics

Nu is a complete financial platform

A full-service digital financial institution

Regulated as a **SOFIPO** in Mexico

Offers:

Credit

Banking-like products

A digital wallet and payment platform

Regulated as a **IFPE** in Mexico

Offers:

To process payments

Holding electronic balances

...full license, **lower funding**

Eligible for IPAB's deposit insurance

Safer credit → Lower yields

Cheaper funding

Competitive loans | Bigger spreads | More stability

Doesn't have IPAB's deposit insurance

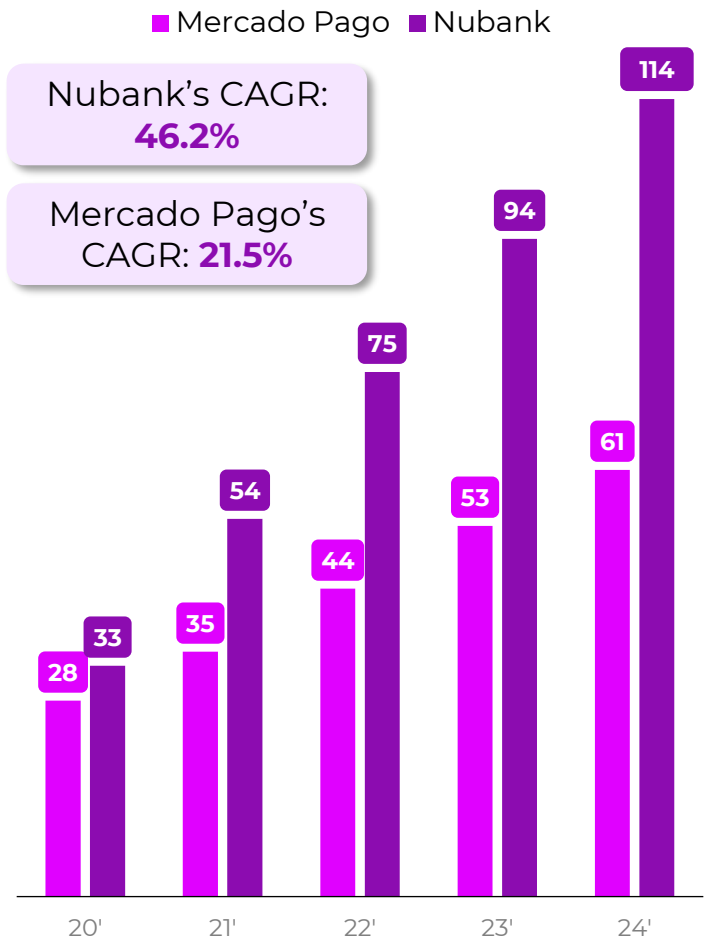
Rikier credit → Higher yields

More expensive funding

Lower spreads

Gives Nubank an **edge in the credit**

Nu x Mercado Pago's customer growth (Mn)



Sources: CNBV, Nubank's IR, Meli's IR

Multiples

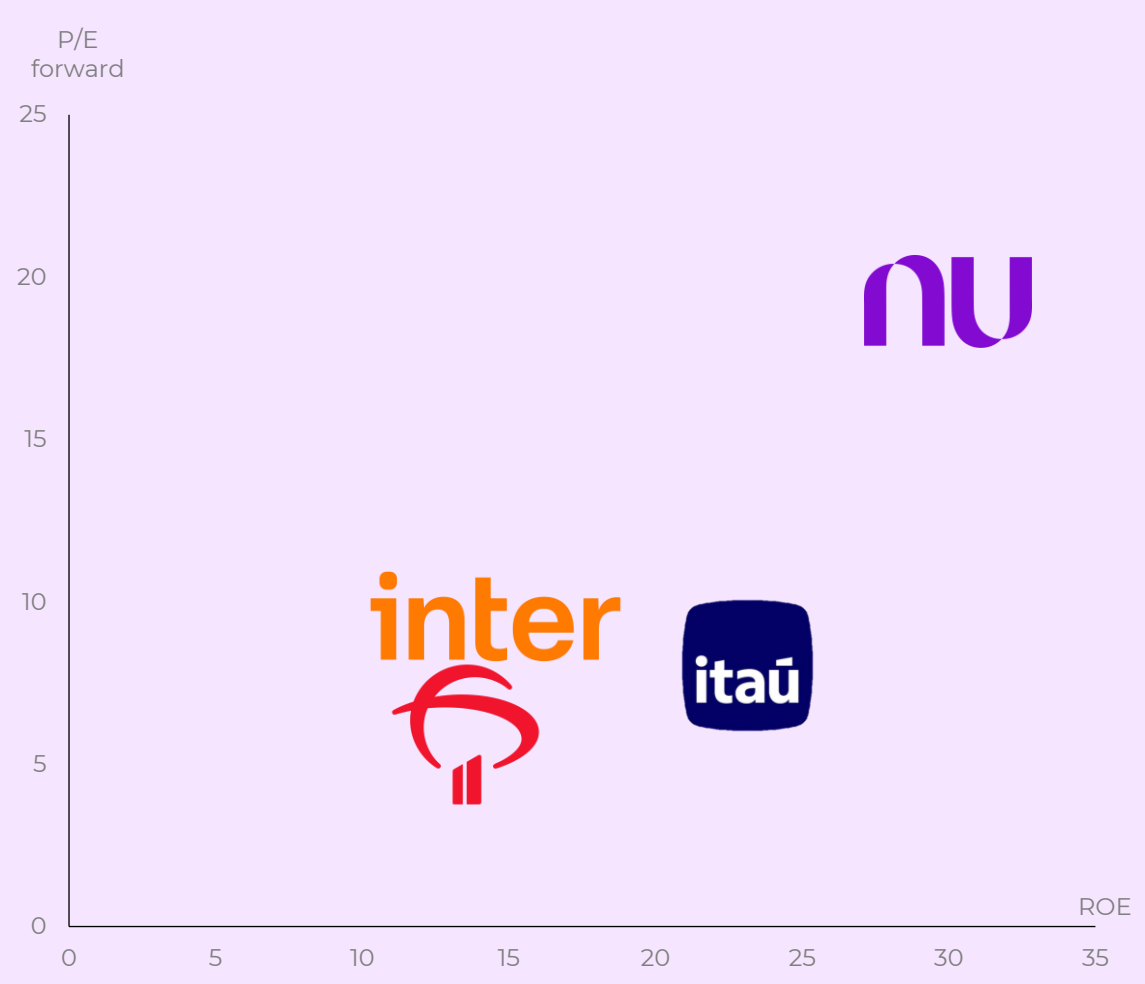


Though it has a high multiple, Nubank deserves it

Consistent outperformance drive a **valuation premium** both versus peers and relative to Nu's historical range

Nubank's **superior return** justifies its valuation premium

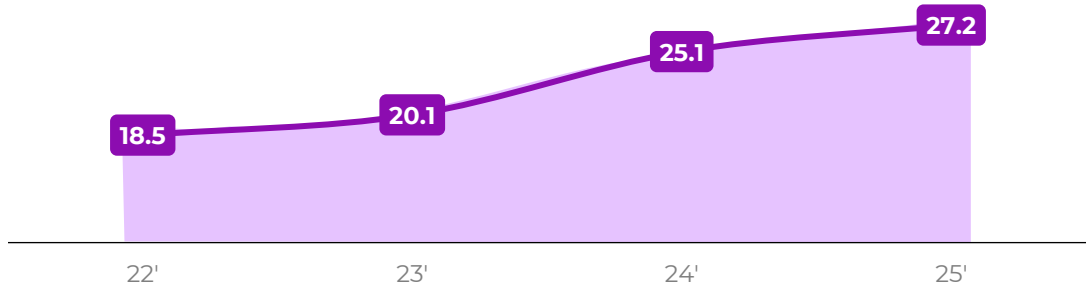
P/E x ROE (%) comparison



The current multiple sits near the **top of the time series**

Nubank's P/E's evolution

Nubank currently trades at **7.6×** its historical standard-deviation premium, and **1.2x** standard-deviations over its average



However, **Nu's deserve it**

High addressable market explains Nubank's multiple premium

We reinforce our thesis

- High possibility to expand **ARPAC in Brasil**
- A enormous **international market to address** in operation
- A **management team** capable of monetizing a **customer** segment previously left **unserved**

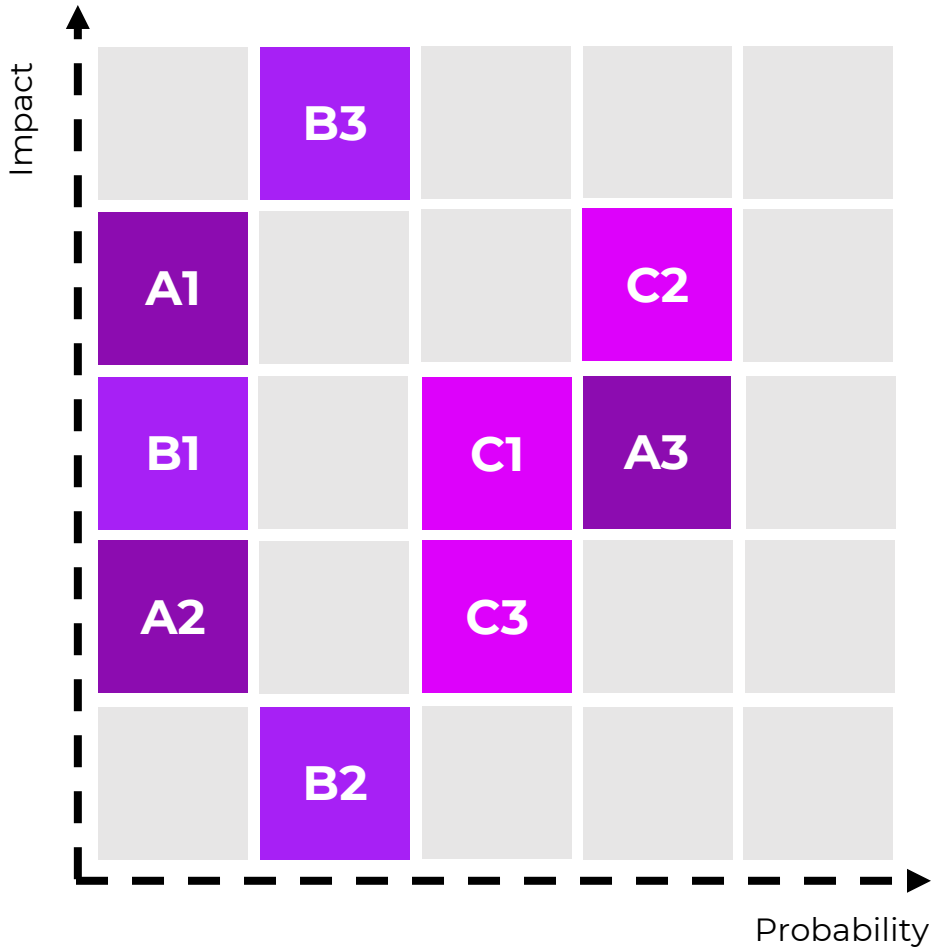
Sources: Bloomberg, Team Elaboration

Risks



Nubank's main risks

Even with an **outstanding operation**, Nubank is threatened by **important risks**



Risks	Description
A1: culture misalingment	*Values built by the management lost in time*
A2: key-man risk	*David Vélez leaving Nubank*
A3: incumbents' digitalization	*Operational efficiency achieved by incumbents*
B1: brand losing value	*Lower retention of clients along the time*
B2: interest rates remaining the same	*No portability on public payroll loans*
B3: underwriting convergence risk	*Peers reaching Nubank's underwriting quality*
C1: bad adaptation in international expansion	*Nubank not being able to adapt its operation to different cultures*
C2: Meli dominating LatAm	*Meli obtaining a more complete banking license*
C3: low diversification in Mexico	*Weak penetration of Nubank's alternative products in Mexico*

Sources: Team Elaboration

Q&A



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At a glance

Industry overview

INCUMBENTS DISRUPTION

Nubank’s appearence

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Culture transmission

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Public payroll

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Advantage over meli

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Nubank’s timeline

Nubank’s products

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Macro’s credit growth

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Cost to serve

Google trends

Meli in SMEs

Open finance

Ke

ROAE

ROAE dupont

NIM

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Churning

LTV’s calculus

Private payroll

Clients growth rate

Mexico’s clients

Mexico’s cohort

ARPAC Bear case

ARPAC Base case

ARPAC Bull case

P/E double stage

Nubank's timeline

The history of the most valuable business in Brazil

2013
Nubank's foundation
Mission: to simlplify the financial system

2014
Roxinho's release
No-annual-fee credit card, fully managed through the app

2017
NuConta's release
Free TED transfers and no maintenance fee

2018
Unicorn status
US$ 1 bn in market value as a startup

2019
International expansion
Operation in Mexico and Colombia

2021
IPO at NYSE
+US$ 40 bn of valuation

2025
The most valuable business in Brazil
Valued at 76.97 USD Bn

Sources: Nubank's IR

Nu expanded beyond its core, but diversification lags

New verticals show potential, yet their contribution still trails the core business

From payments to crypto, Nu **expands its ecosystem**

"Other fee and commission income" breakdown

NuPay

- **In app checkout**
- MDR from merchants
- **Higher conversion**

NuCripto

- Trading **fees/spread**
- **In app** custody
- High activity

Ultravioleta

- **Premium** subscription
- Cashback & Perks
- Affluent **stickiness**

ATM fees

- Per-transaction pricing
- Utility, **low margin**

Early diversification shows **distinct growth paths**

Payments grow fast, while crypto and premium banking lag

NuPay

NuPay is in about **200 places**, however, could reach **1,600**

NuCripto

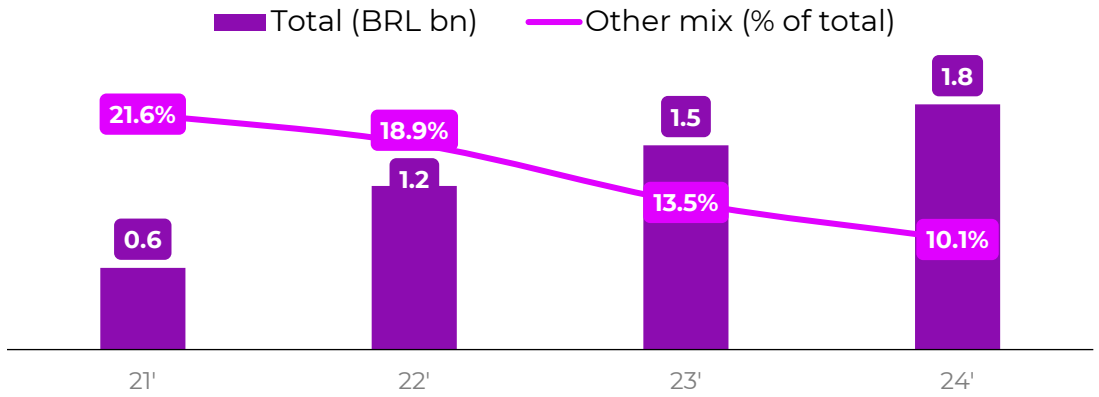
Harder path: **cycles/regulation**. Recurring **purchases** drive growth

Ultravioleta

As average **clients' income** rise, **Ultravioleta** captures a more **premium demand**

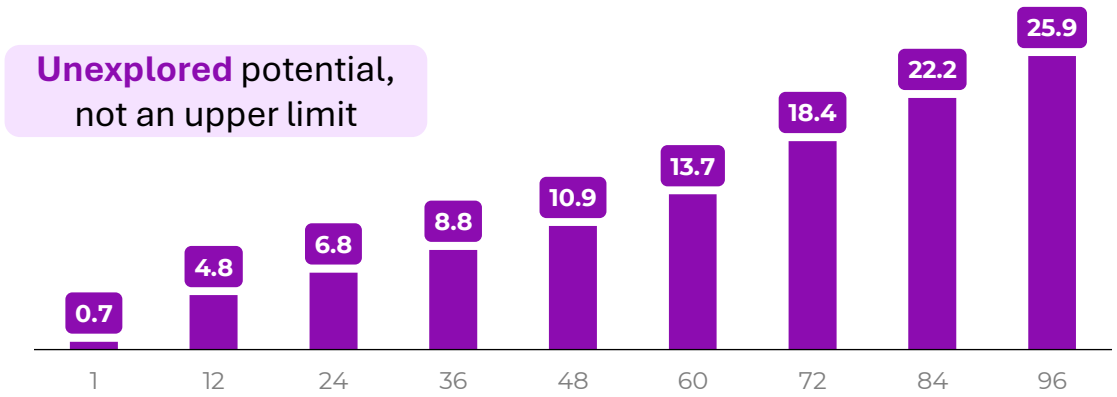
Nu's core rhythm hasn't been followed by alternative mix

Other mix (% of total fee & comission income)



Customer value **rises** with **engagement**

Monthly ARPAC (US$) by months as a Nubank client



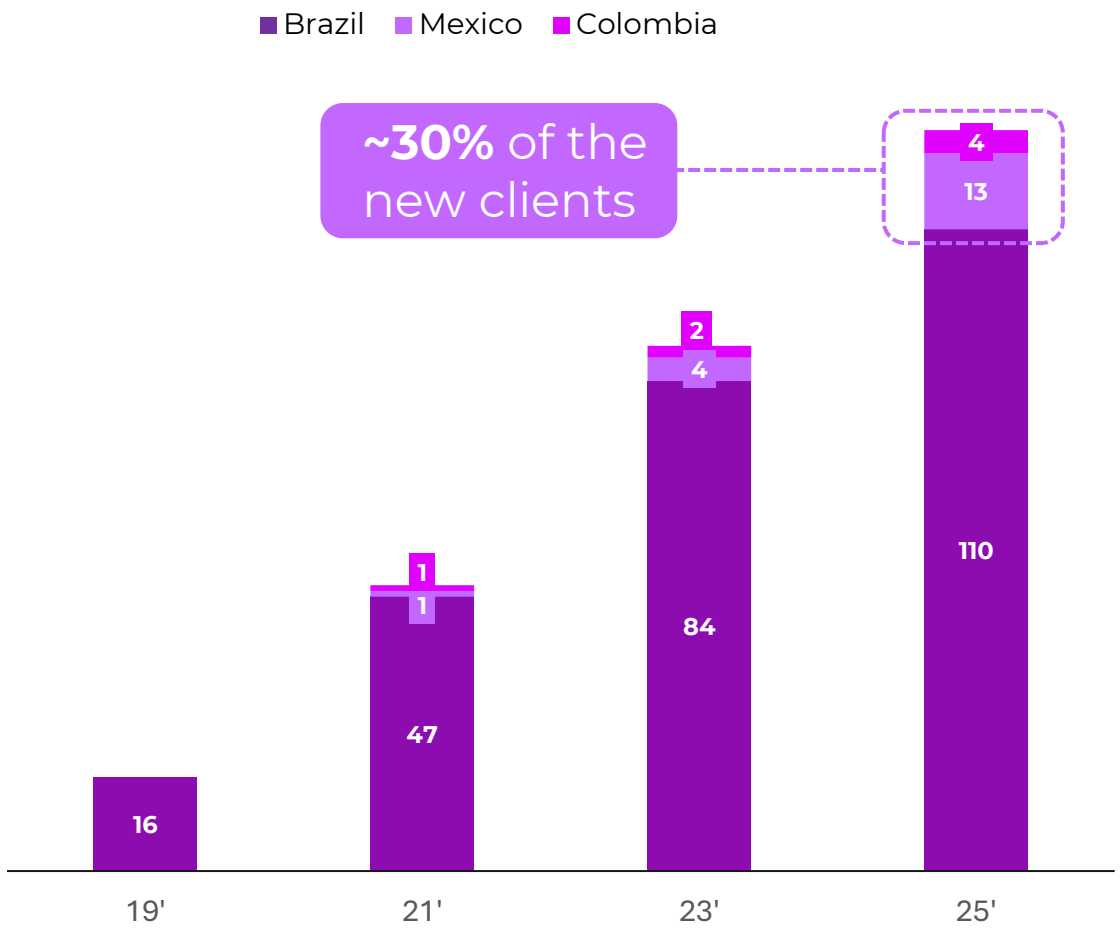
Sources: Nubank's IR

The growth engine is no longer Brazil-only

International additions are accelerating and paving the way for the next leg of growth in Latin America

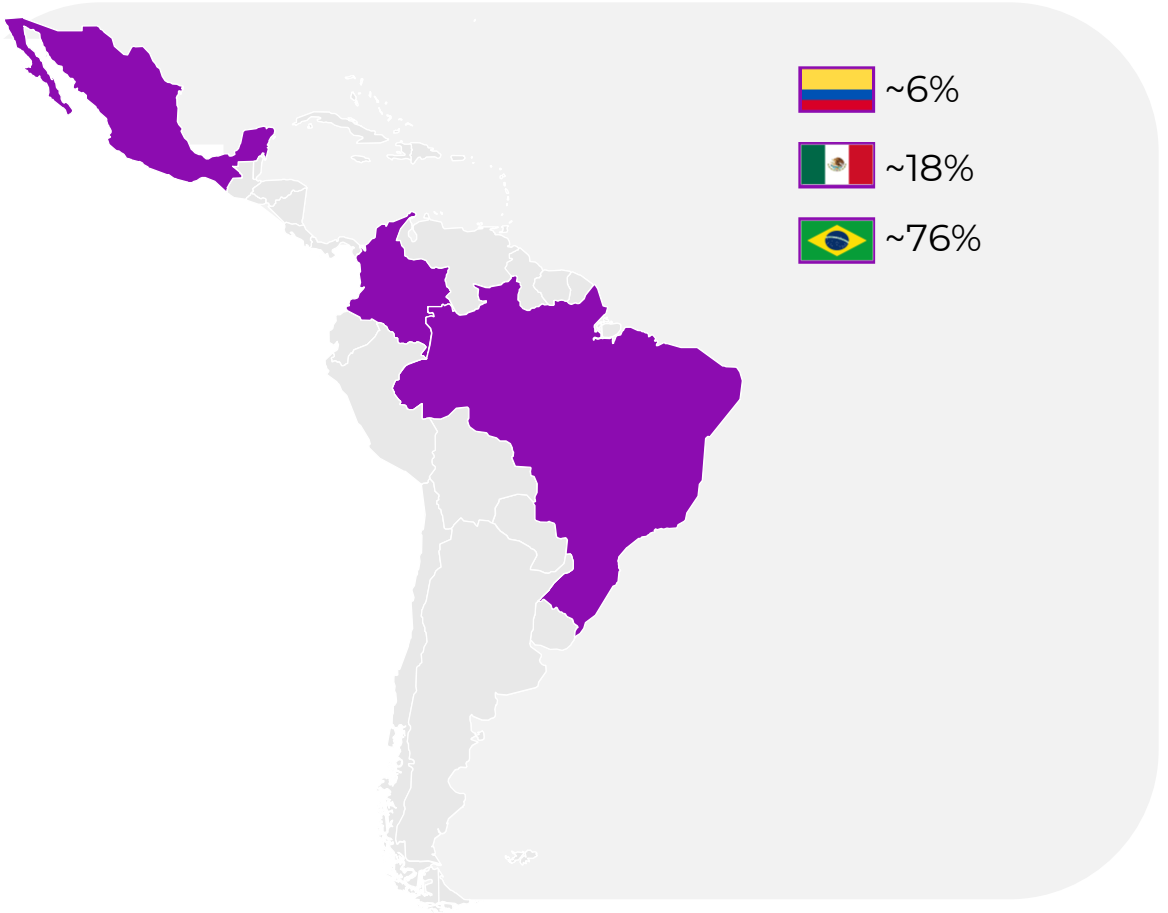
Customer growth Is becoming more global

Client base by country across key milestones



Mexico + Colombia are becoming relevant contributors

Share of total deposits by country (2025)



Sources: Nubank's IR

By now, Nu's focus isn't on overcoming these market particularities

Nu's short-term strategy focuses on deepening core markets, not tackling these structural frictions

Macro Alignment Exists, but Local Frictions Block Expansion



Peru's Particularity

Strong, **efficient incumbents**

Restricting **lending limits**

Paraguai's Particularity

weak data **infrastructure**

Market too **small**

Argentina's Particularity

Macroeconomic instability

Mercado Pago's dominance

Regulatory and political **volatility**

Three filters to guide our **market screening**

- **Large underbanked segments**
- **Concentrated incumbents presence**
- **High digital adoption**

"The overwhelming focus of management and the company remains on what we call **Act 1. Act 1 — Brazil, Mexico, and Colombia** — continues to have over 90% of the company's focus

David Vélez – Nubank's Founder and CEO



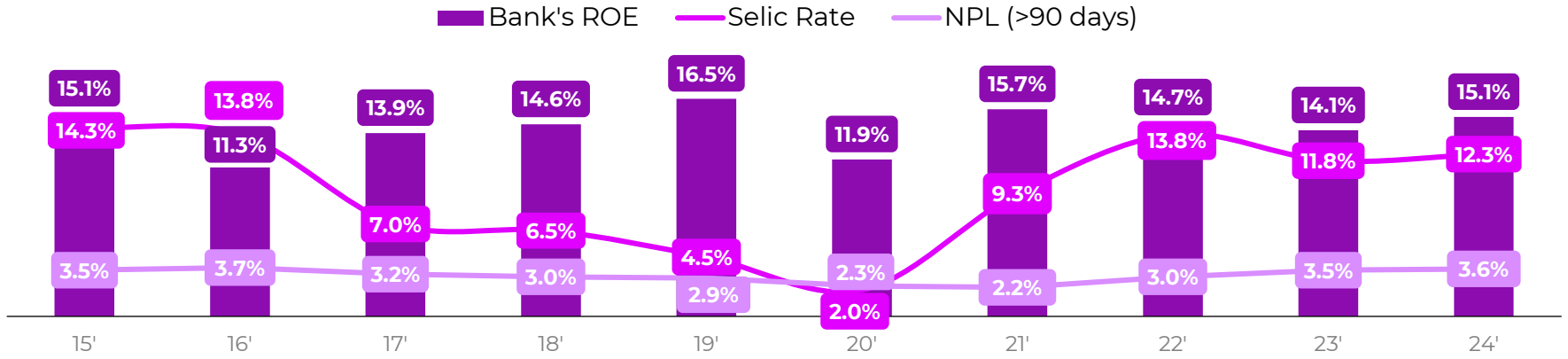
Sources: Nubank's IR, Team Elaboration

Macroeconomics shape banking returns and credit growth

Interest rates drive all banks' returns and credit risk, while inflation dictates credit expansion and demand

Bank's profitability moves with monetary policy

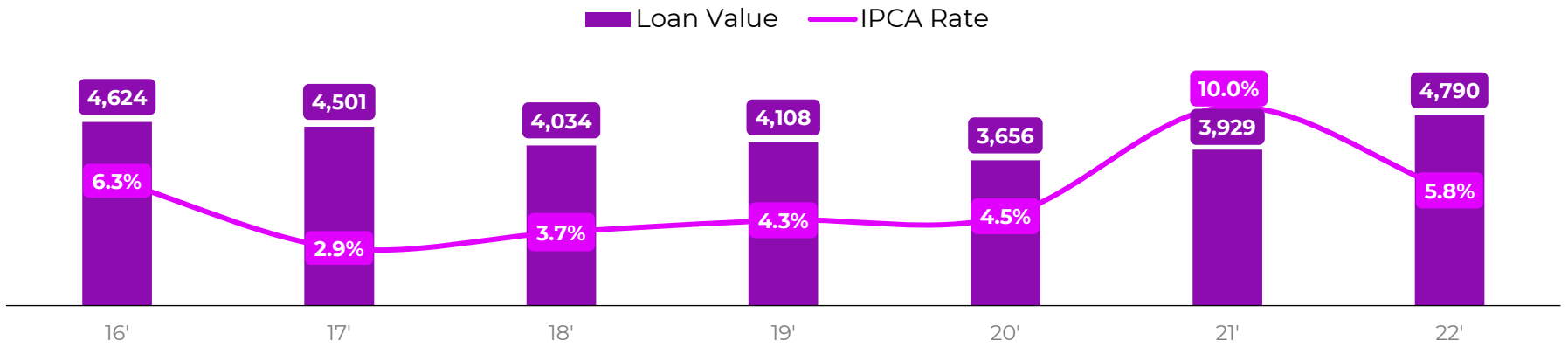
Bank's ROE x Selic Rate x Loan Deliquency



When interest rates rise, banks earn higher spreads, but loan delinquency also tends to increase

Inflation dictates the rhythm of credit

Per capita personal loan value in Brazil (USD) x IPCA rate



When inflation erodes purchasing power and prompts monetary tightening, reducing demand for personal loans

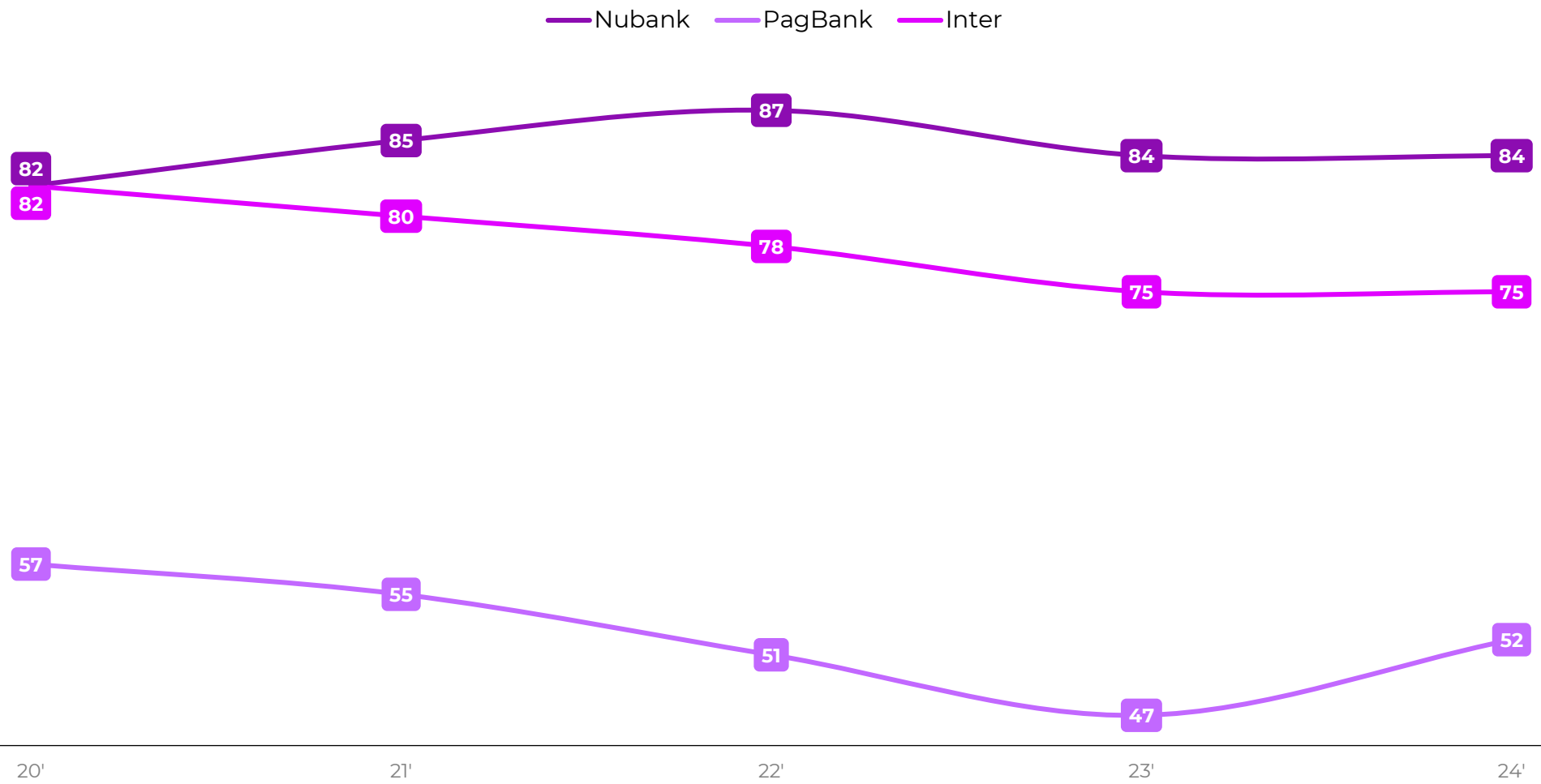
Sources: Nubank's IR, Bacen

Nubank has a higher NPS rate than other fintechs

Client focus is what is behind it

The difference is significant

Fintechs' NPS



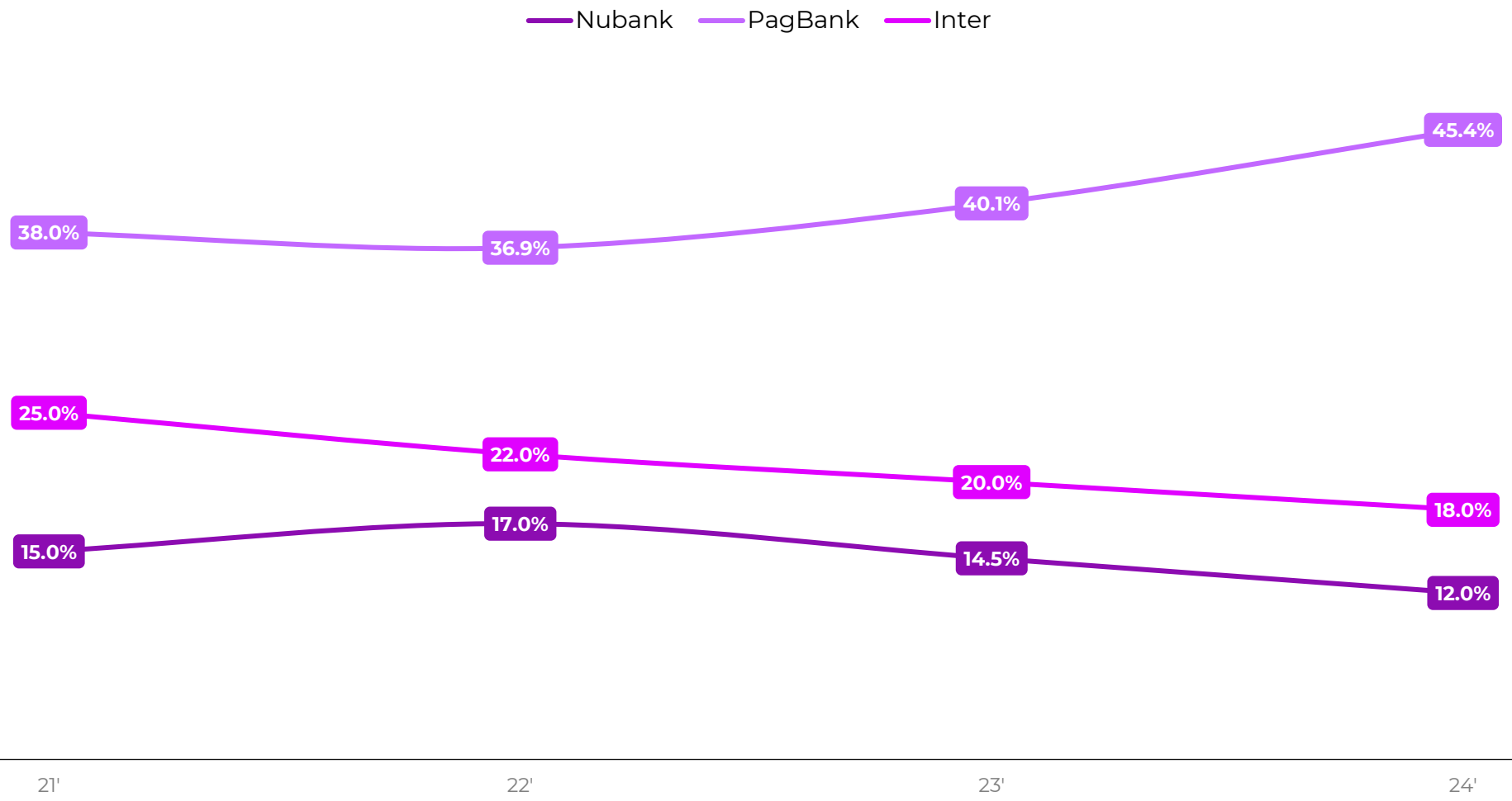
Sources: Fintechs' IR

Nubank's turnover is also lower in the fintech segment

Their culture reinforcement drives a lower turnover

This is a reflect of the stronger culture

Fintechs' turnover



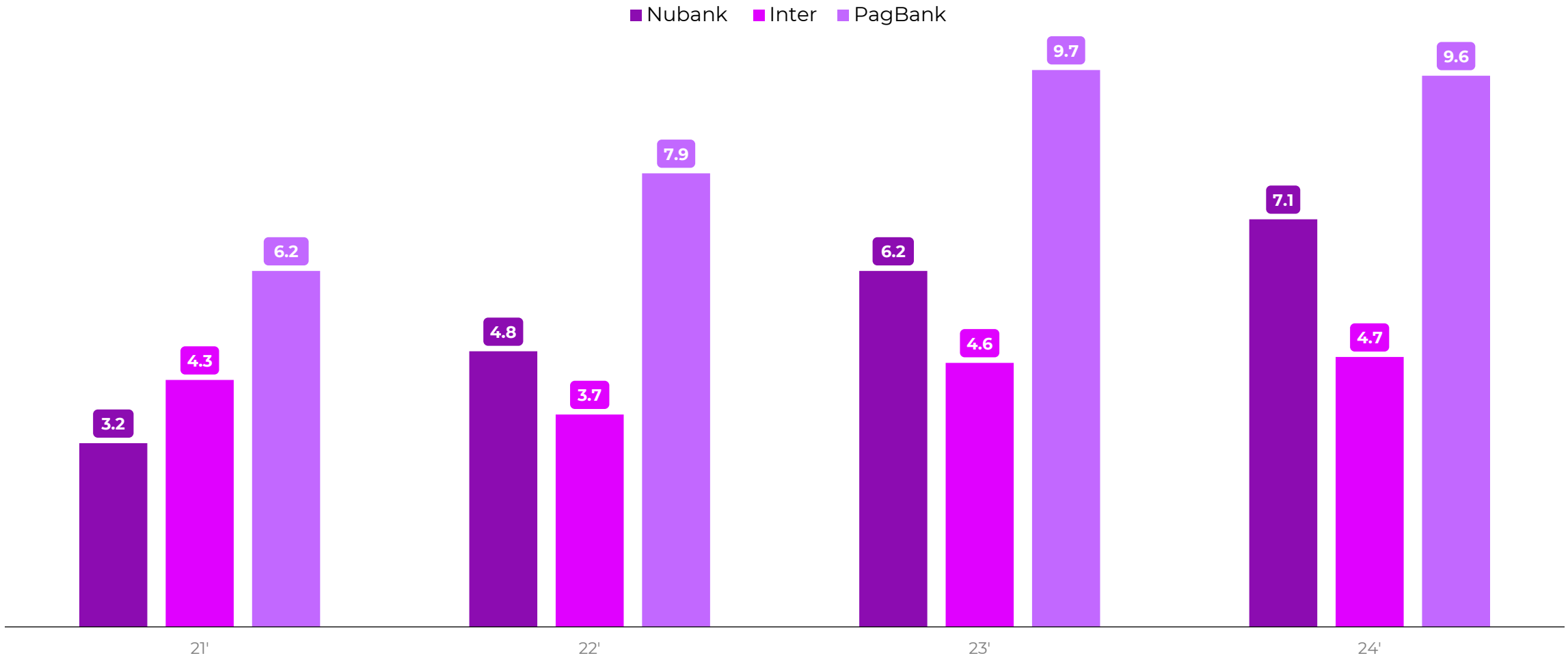
Sources: Fintechs' IR

Nubank’s operation has its risks

Nubank’s default risk is always higher

Even in the fintech’s segment nubank has higher delinquency

Fintechs’ NPL (>90 days) - %



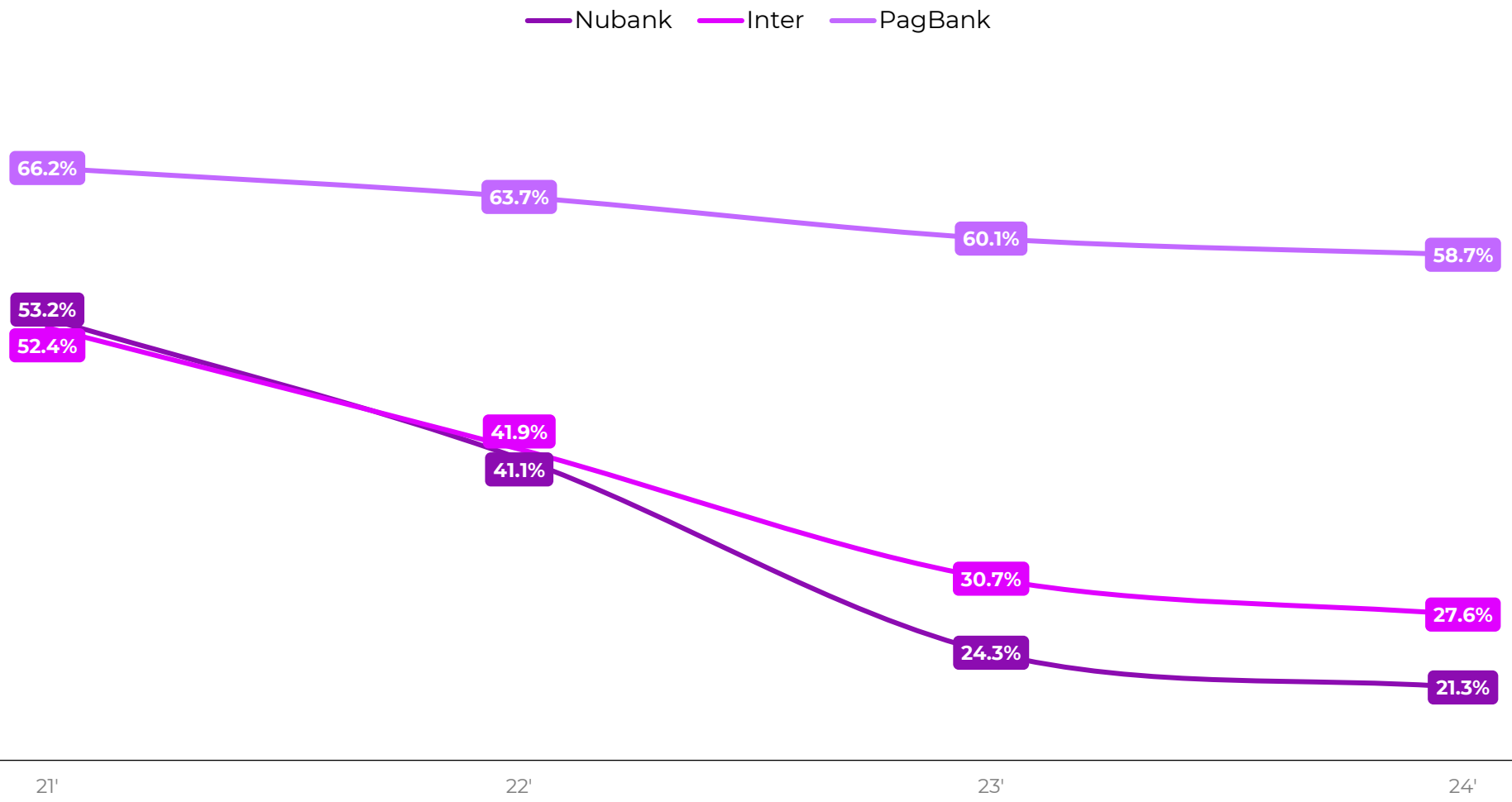
Sources: Fintechs’ IR

Operational efficiency is nubanks biggest strength

Nubank's operational efficiency overcomes fintechs

Even when compared to players with a similar business model, Nubank has better results

Fintechs' operational efficiency



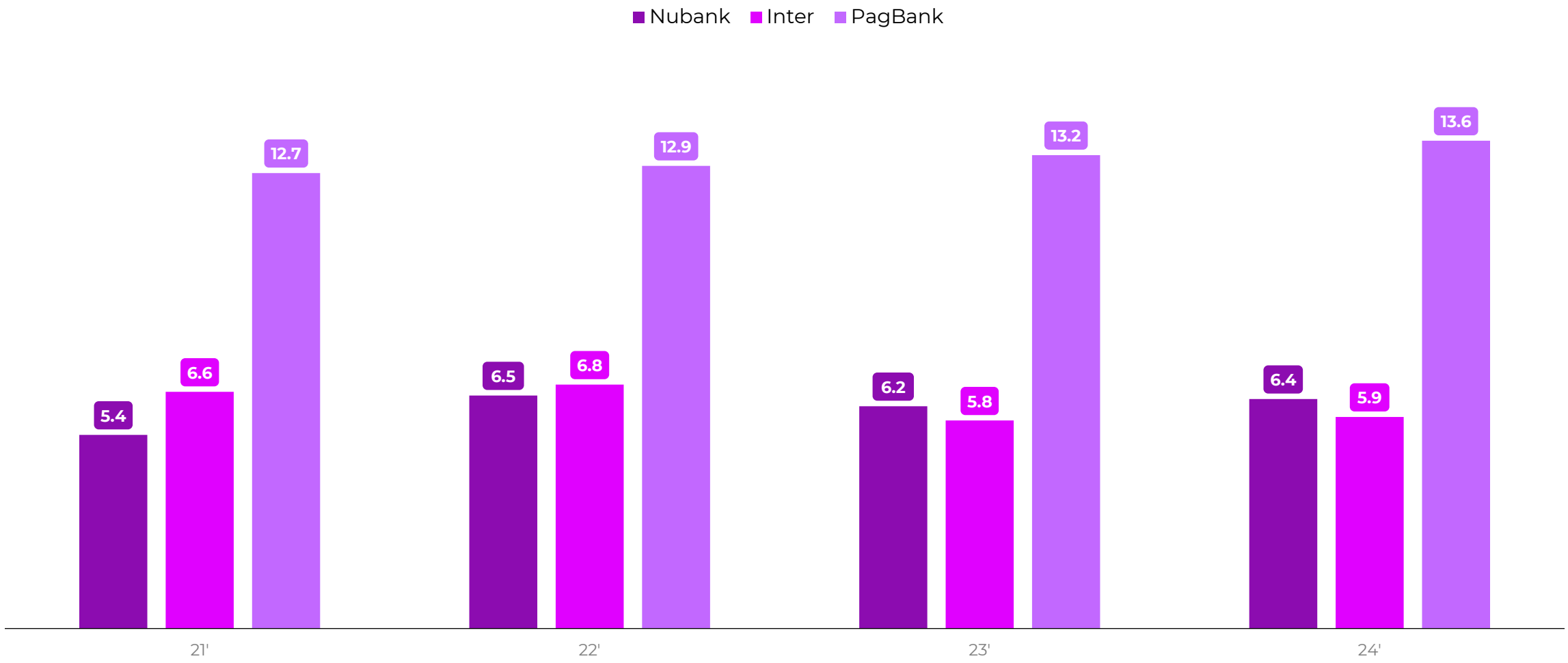
Sources: Fintechs' IR

Nubank has a competitive CAC even among fintechs

The asset light model is also effective in the fintech's segment

A low CAC aligned with scale represents a big advantage against players

Fintechs' CAC (client's cost of acquisition) - USD



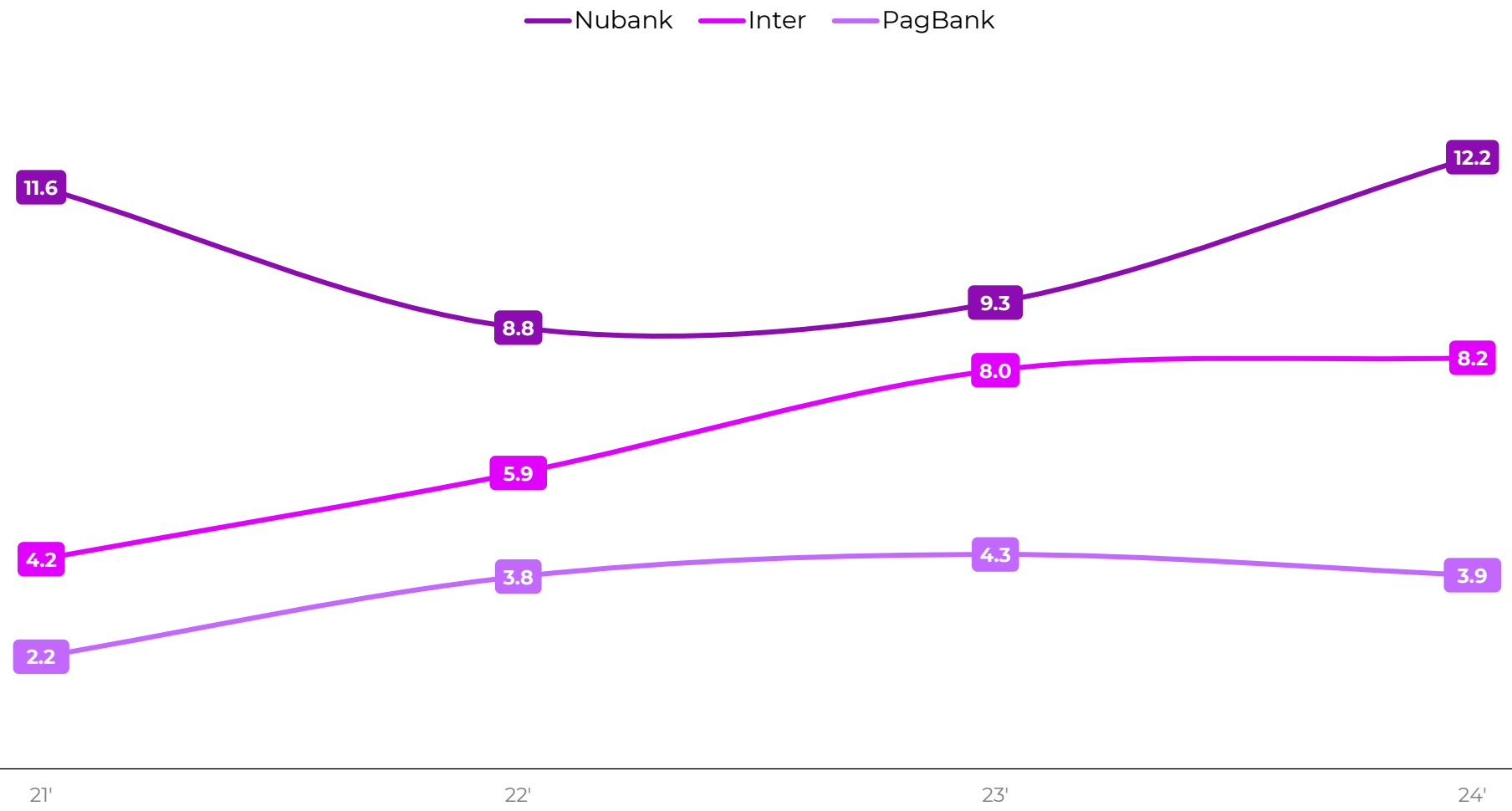
Sources: Fintechs' IR

Nubank is efficient in it’s entire operation

Efficiency is key to be better than other players

Nubank shows better efficiency per employee

Clients per employee ratio



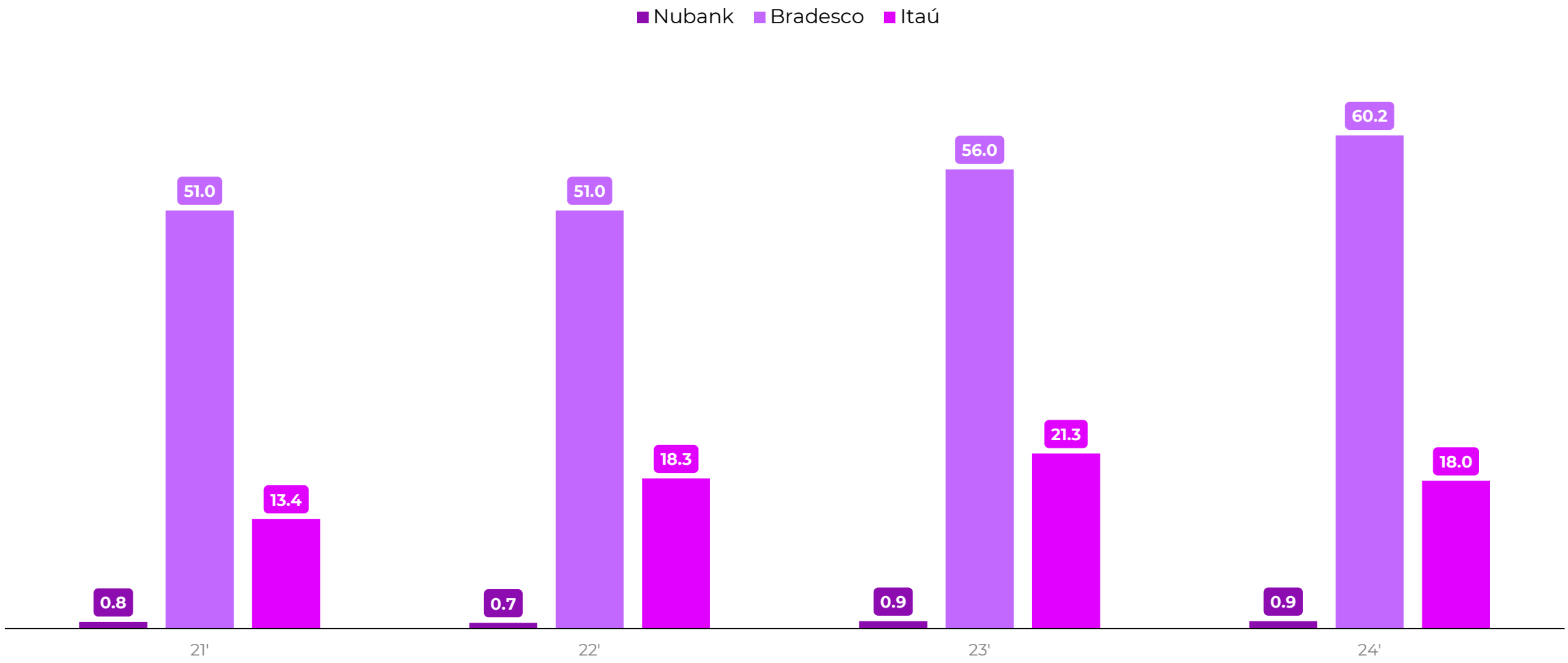
Sources: Fintechs’ IR

A significant lower cost to serve

Nubank's operation is cheaper than incumbents in most aspects

A lower cost to serve gives Nubank the opportunity to invest in segments that will generate value

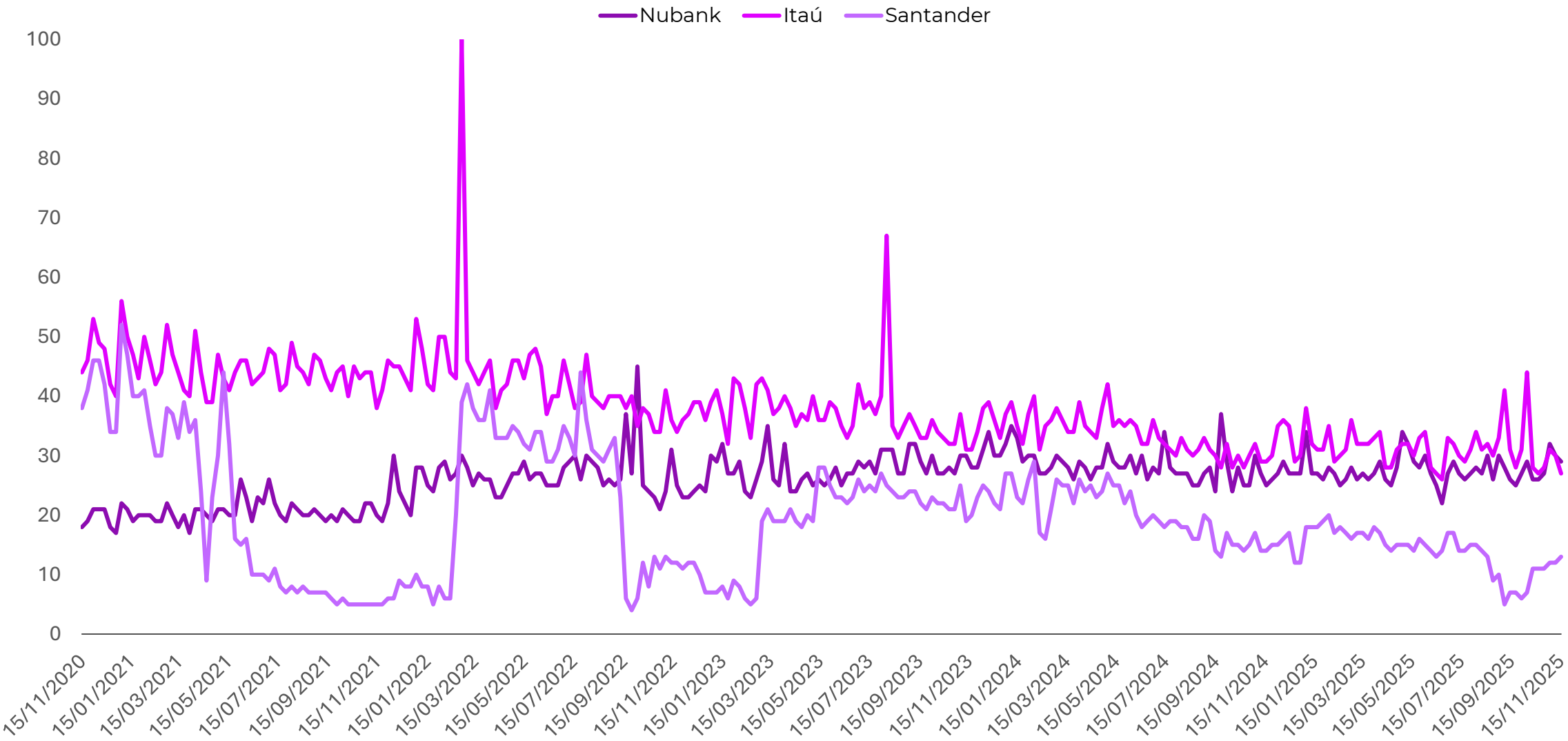
Cost to serve (USD)



Sources: Banks" IR

Nubank is slowly reaching Itaú's recognition

Searches on Google Trends



Sources: Google Trends

Why Nubank represents a threat to MELI in SMEs

Even though Meli dominates the sector, Nubank has a big growth opportunity

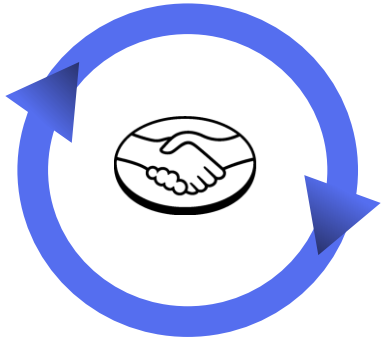
How Mercado Pago operates

Customer acquisition:
Meli captures through marketplace

Financial services:
Offers loans collateralized by marketplace sales

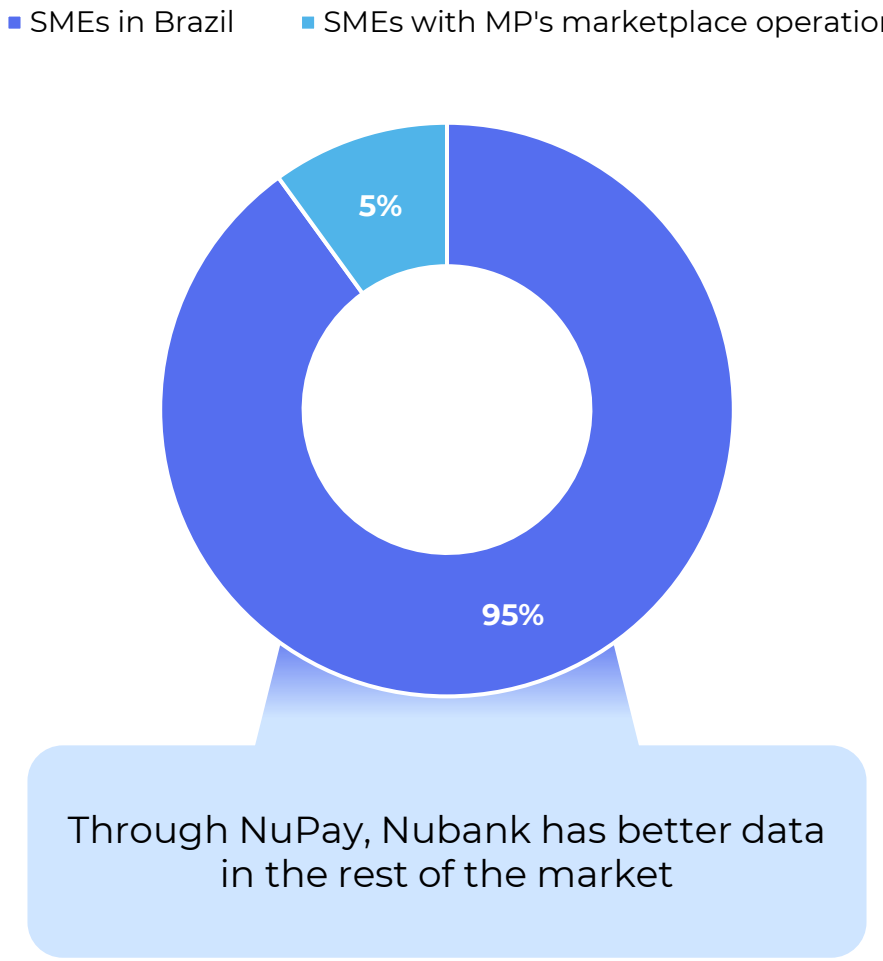
Meli has data advantages **within** their system

Meli's flywheel:



MELI captures payments, offers low-risk credit to sellers, retains the cash flow, which keeps delinquency low, and accelerates sales, driving scale.

Nu has a big market to explore



Through NuPay, Nubank has better data in the rest of the market

Sources: Meli's IR, Team Elaboration

Nubank is positioned ahead of Other banks

Nu has a better understanding of their clients due to the better information

	NuPay	Open Finance
Bank balances		✓
Bank statements		✓
Loans contracts & limits		✓
Historical credit data		✓
Registered personal/company information		✓
Real-time transaction data	✓	
Daily sales visibility	✓	
Channel-level conversion	✓	
Average ticket size	✓	
Recurrence / cohort behavior	✓	
Payment success/failure signals	✓	
Buyer behavioral patterns	✓	
Receivables volatility	✓	

Sources: Nubank's IR , Open Finance, Team Elaboration

Ke's (cost of equity) calculus

	US Treasury	Beta	ERP	CRP	Ke US
2020	1,05%	1,257	4,72%	3,76%	11,71%
2021	1,60%	1,257	4,24%	3,22%	10,98%
2022	2,75%	1,257	5,94%	3,75%	14,93%
2023	3,75%	1,257	4,60%	4,14%	14,74%
2024	4,00%	1,257	4,33%	4,57%	15,19%

$$Ke_{USD} = Rf_{EUA} + \beta \cdot (ERP_{maduro} + CRP_{Brasil})$$

Sources: Nubank's IR, Bloomberg

ROAE's calculus

	31/12/2024	31/12/2023	31/12/2022	31/12/2021	31/12/2020	31/12/2019
Total equity	7,647,076	6,406,385	4,890,783	4,442,541	438,111	612,251

	2024	2023	2022	2021	2020
Net income	1,972,112	1,030,530	(364,634)	(165,334)	(171,491)
Average Total Equity	7,026,731	5,648,584	4,666,662	2,440,326	525,181
ROAE	28.07%	18.24%	-7.81%	-6.78%	-32.65%

Sources: Nubank's IR

ROAE DuPont breakdown

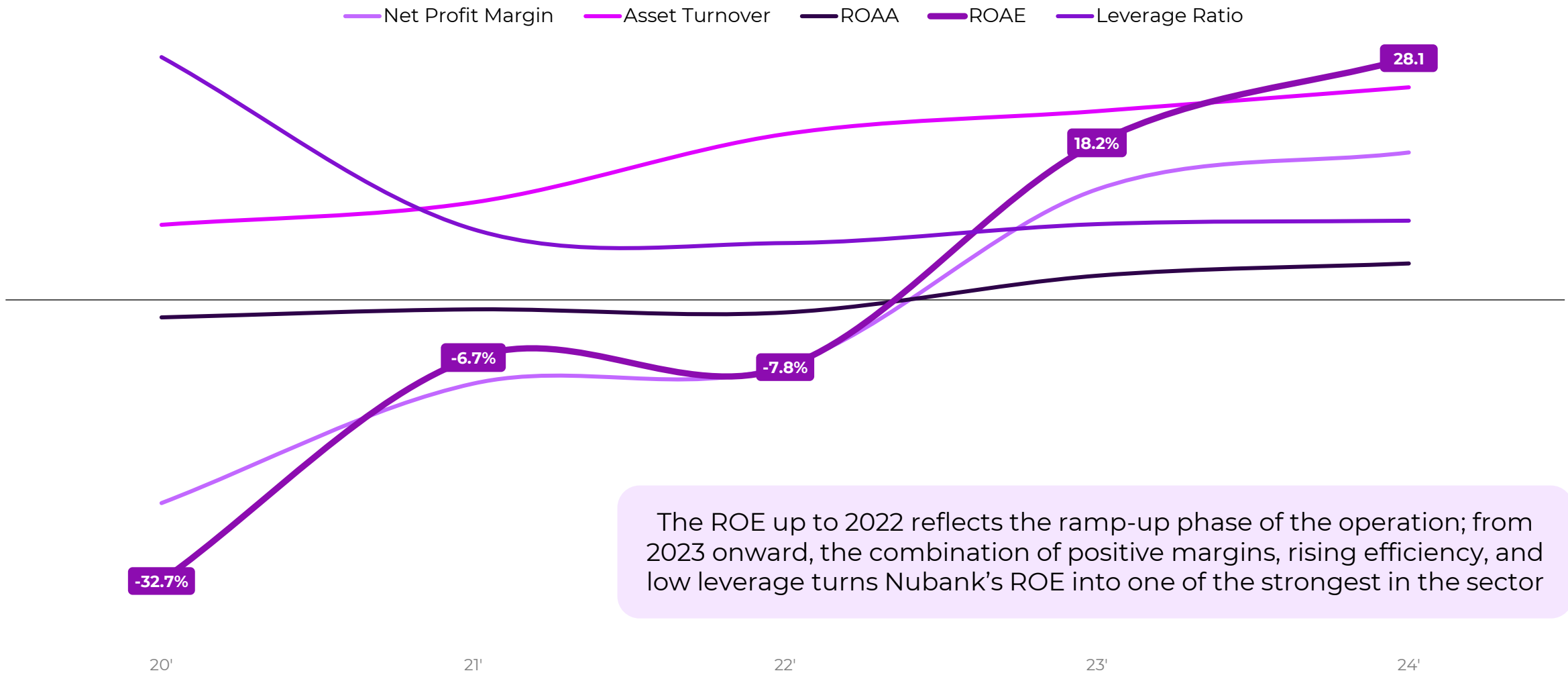
	2024	2023	2022	2021	2020
Total net income	1,972,112	1,030,530	(364,578)	(164,993)	(171,491)
Total net revenue	11,517,075	8,028,976	4,792,231	1,698,023	737,133
Net Profit Margin	17.12%	12.84%	-7.61%	-9.72%	-23.26%
Total net revenue	11,517,075	8,028,976	4,792,231	1,698,023	737,133
Average assets	46,638,204.50	36,630,877.00	24,887,620.00	15,006,465.50	8,457,142.00
Asset Turnover	24.69%	21.92%	19.26%	11.32%	8.72%
ROAA	4.23%	2.81%	-1.46%	-1.10%	-2.03%
Average assets	46,638,204.50	36,630,877.00	24,887,620.00	15,006,465.50	8,457,142.00
Average equity	7,026,730.50	5,648,584.00	4,666,662.00	2,440,326.00	525,181.00
Leverage Ratio	6.637255335	6.484966321	5.333066762	6.149369183	16.1032901
ROAE	28.07%	18.24%	-7.81%	-6.76%	-32.65%

Sources: Nubank's IR

ROAE DuPont breakdown

Graph

ROAE = Net Profit Margin x Asset Turnover x Leverage ratio



The ROE up to 2022 reflects the ramp-up phase of the operation; from 2023 onward, the combination of positive margins, rising efficiency, and low leverage turns Nubank's ROE into one of the strongest in the sector

Sources: Nubank's IR

NIM’s calculus

	2024	2023	2022	2021	2020
Total interest income and gains (losses) on financial instruments	9,631,043	6,439,712	3,555,213	1,046,746	382,922
Total interest and other financial expenses	2,834,859	2,036,925	1,547,903	367,344	113,924
Average interest earning assets	52,474,276.5	42,041,605.0	28,104,919.5	16,392,418.5	9,568,091.5
NIM	12.95%	10.47%	7.14%	4.14%	2.81%

Sources: Nubank’s IR

Operational efficiency's calculus

	2024	2023	2022	2021	2020
Total revenue	11,517,075	8,028,976	4,792,231	1,698,023	737,133
Total operating (expenses) income	- 2,457,711	(1,951,825)	(1,971,891)	(903,081)	(418,935)
Operational efficiency ratio	21.3%	24.3%	41.1%	53.2%	56.8%

Sources: Nubank's IR

Churning's calculus

	4Q20	4Q21	4Q22	4Q23	4Q24
Active customers	21.8	41.1	61.2	78.0	94.9
Total customers	33.3	53.9	74.6	93.9	114.2
Activity rate	65.5%	76.3%	82.0%	83.1%	83.1%
Churning	-	6.3%	2.9%	13.0%	16.7%

Sources: Nubank's IR

LTV calculus

We got inspired by Dynamo's letter

	3Q25
Monthly ARPAC	**13.5**
Anual ARPAC	**162**
Gross profit	**1,814,532**
Total revenue	**4,172,716**
Gross margin	**43.5%**
Ke*	**15.20%**
LTV	**463.5**



Carta

DYNAMO 98

2/4 2018

Melius Cras

Na Carta anterior, narramos sucintamente a cronologia da trajetória do Mercado Livre, assim como as circunstâncias do nosso primeiro contato com a Companhia no momento do IPO. Em seguida, apresentamos as razões pelas quais adquirimos uma participação relevante em 2016. Nesta Carta, avançamos na análise das especificidades do ambiente e do modelo de negócios do Meli, destacamos os principais riscos que julgamos enfrentar neste investimento e aproveitamos para tecer algumas considerações sobre as dificuldades de aplicarmos cruamente as métricas/conceitos de valuation tradicionais neste tipo de empreendimento.

Como vimos, o principal fundamento para o nosso investimento no Meli foi a percepção de que estávamos à frente um grupo de executivos diferenciados, à altura dos imensos desafios e inúmeras oportunidades que se ofereciam para quem se dispusesse erguer do chão uma plataforma pioneira de comércio eletrônico com dimensão continental na América Latina. Isto aliado a compreensão de que proporcionar uma melhor experiência e maior engajamento do usuário na plataforma constitui o princípio básico que dá sentido à narrativa do Meli ao longo do tempo. O DNA da Companhia, a cultura corporativa, o timing de lançamento dos projetos internos, a hierarquia das prioridades operacionais de curto prazo e das decisões estratégicas de longo curso, tudo parece gravitar em torno deste polo magnético que vias estabelecer e aprofundar relações recorrentes e ao mesmo tempo rentáveis com os usuários. A ideia agora é explicarmos de forma mais detalhada a importância e interdependência entre estes dois pilares.

Terminamos a Carta anterior observando que naquele momento do nosso investimento em 2016 já se desenhava uma tendência de deterioração das margens operacionais, o que acabou se intensificando nos trimestres seguintes, conforme o Gráfico 1.

No modelo de negócios da economia tradicional do lado da oferta, margens operacionais em franca deterioração traduzem sinais de que estamos diante de uma situação preocupante. As razões são diversas, surgem de forma isolada ou podem vir combinadas: desaceleração do crescimento, negócio em decadência, competição se acirrando, obsolescência de produtos, marcas declinantes, baixa relevância, problema de reputação, pouca inovação, escassez de projetos internos, incapacidade de recompor preços, perda de participação de mercado, descontrole de custos, fuga de talentos, e por aí vamos.

Gráfico 1 - EBITDA Ajustado (U$ Milhões)

Fonte: Meli e Dynamo

$$\text{LTV} = \frac{(\text{Average Ticket} \times \text{Gross Margin}) \times \text{Purchase Frequency}}{\text{Discount Rate}}$$

Sources: Nubank's IR, Dynamo

Private payroll is not an option at the moment

Nubank bets on other loan modalities

"Crédito do Trabalhador's" recent launch and the high risk envolved limit Nubank to engage on this segment

Results Call 3Q25

"In the short term, Nu is more cautious regarding private payroll loans than with other products.

This caution is mainly related to the product's risk cost, especially with respect to what is called 'employee-related collateral'.

The company is observing the risk cost of this segment 'improve quarter after quarter' and is monitoring 'very carefully' when and how it will 'bet more aggressively' in the future."

Guilherme Lago – Nubank's CFO

Sources: Nubank's IR

How we discovered Mexico's clients' growth rate

We noticed that Mexico is in a similar scenario of Brazil's first steps

Brazil	2016	2021
Number of clients (Mn)	1	53.9
CAGR (16 - 21)	122.0%	

Mexico	2020	2025
Number of clients (Mn)	0.5	13
CAGR	91.9%	
Haircut (BR to MX)	24.7%	

Brazil	2021	2025
Number of clients BR (Mn)	53.9	110
CAGR BR (21 - 25)	23.7%	
Haircut (BR to MX)	24.7%	
CAGR MX (25 - 29)	17.8%	

Sources: Team Elaboration

By knowing the growth rate, we projected Mexico clients

The projection permitted us to know the division of clients by their times as Nu's clients

		Time as a Nubank's client								
	Total clients	0 to 1 year	1 to 2 year	2 to 3 year	3 to 4 year	4 to 5 year	5 to 6 year	6 to 7 year	7 to 8 year	8 to 9 year
2020A	0.5	0.5								
2021A	1.4	0.9	0.5							
2022A	3	1.6	0.9	0.5						
2023A	5.5	2.5	1.6	0.9	0.5					
2024A	8.5	3	2.5	1.6	0.9	0.5				
2025A	13	4.5	3	2.5	1.6	0.9	0.5			
2026E	15.3	2.3	4.5	3	2.5	1.6	0.9	0.5		
2027E	18.1	2.7	2.3	4.5	3	2.5	1.6	0.9	0.5	
2028E	21.3	3.3	2.7	2.3	4.5	3	2.5	1.6	0.5	0.9
2029E	25.1	3.8	3.3	2.7	2.3	4.5	3	2.5	1.6	1.4

Sources: Team Elaboration

And how much do these clients spend on Nubank?

We got Brazilians spends, relative to the potential ARPAC and, with the distribution of clients in Mexico, we discovered the Mexican cohort (how much a client spends of the total potential ARPAC)

Brazil cohort

Stage	Potential ARPAC	Average ARPAC	Cohort
0 to 1 year	27.5	4	14.5%
1 to 2 years	27.5	7	25.5%
2 to 3 years	27.5	11	40.0%
3 to 4 years	27.5	15	54.5%
4 to 5 years	27.5	18	65.5%
5 to 6 years	27.5	21	76.4%
6 to 7 years	27.5	24	87.3%
7 to 8 years	27.5	26	94.5%
8 to 9 years	27.5	27.5	100.0%

Mexico cohort

	Average cohort
2025A	32.8%
2026E	40.5%
2027E	47.2%
2028E	50.6%
2029E	55.9%

Sources: Team Elaboration

Based on this, we developed a bear case...

We were pessimist about the income factor along the time

	2025	2026	2027	2028	2029
Potential ARPAC BR	27.5	27.5	27.5	27.5	27.5
Income factor	2	2	2	2	2
Cohort's replication	0.7	0.65	0.6	0.55	0.5
Acumulated inflation	-	4.5%	9.1%	14.0%	19.1%
Potential ARPAC MX	38.5	37.3	36.0	34.5	32.7
Average cohort	32.8%	40.5%	47.2%	50.6%	55.9%
Effective ARPAC	12.6	15.1	17.0	17.4	18.3

Sources: Team Elaboration

A base case...

We were conservative about the income factor along the time

	2025	2026	2027	2028	2029
Potential ARPAC BR	27.5	27.5	27.5	27.5	27.5
Income factor	2	2	2	2	2
Cohort's replication	0.7	0.7	0.7	0.7	0.7
Acumulated inflation	-	4.5%	9.1%	14.0%	19.1%
Potential ARPAC MX	38.5	40.2	42.0	43.9	45.8
Average cohort	32.8%	40.5%	47.2%	50.6%	55.9%
Effective ARPAC	12.6	16.3	19.8	22.2	25.6

Sources: Team Elaboration

Finally, a bull case

We were very optimistic about the income factor along the time

	2025	2026	2027	2028	2029
Potential ARPAC BR	27.5	27.5	27.5	27.5	27.5
Income factor	2	2	2	2	2
Cohort's replication	0.7	0.75	0.8	0.85	0.9
Acumulated inflation	-	4.5%	9.1%	14.0%	19.1%
Potential ARPAC MX	38.5	43.1	48.0	53.3	58.9
Average cohort	32.8%	40.5%	47.2%	50.6%	55.9%
Effective ARPAC	12.6	17.5	22.7	27.0	32.9

Sources: Team Elaboration

P/E double stage analisys

We understand that Nubank growth is divided in two cenarios: 10 years from now, and the perpetuity from there

First stage

ROE	30.6%
g	32.2%
N	10.0
Ke	15.2%
P/E (1° stage)	-0.9

Steady stage

ROE	15.1%
g	32.2%
N	10.0
Ke (long term)	15.2%
g (long term)	5.7%
P/E (2° stage)	28.1

$$\frac{P}{E} = \underbrace{\frac{\text{ROE} - g}{\text{ROE} \times (K_e - g)} \times \left(1 - \frac{(1+g)^n}{(1+K_e)^n}\right)}_{\text{First Stage}} + \underbrace{\frac{\text{ROE}_{LT} - g_{LT}}{\text{ROE}_{LT} \times (K_{e_{LT}} - g_{LT})} \times \frac{(1+g)^n}{(1+K_e)^n} \times (1+g_{LT})}_{\text{Steady State}}$$

P/E = 27.1

Sources: Bloomberg, Team Elaboration